

COVER SHEET

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S.E.C. Registration Number

M	A	N	I	L	A		W	A	T	E	R		C	O	M	P	A	N	Y	,		I	N	C	.		A	N	D
	S	U	B	S	I	D	I	A	R	I	E	S																	

(Company's Full Name)

M	W	S	S		A	D	M	I	N	I	S	T	R	A	T	I	O	N		B	U	I	L	D	I	N	G		
4	8	9		K	A	T	I	P	U	N	A	N		R	O	A	D		B	A	L	A	R	A		1	1	0	5
Q	U	E	Z	O	N		C	I	T	Y		M	E	T	R	O		M	A	N	I	L	A						

(Business Address: No. Street City / Town / Province)

GIGI ILUMINADA T. MIGUEL

Contact Person

0917-1547-921

Company Telephone Number

0930

Month Day
Fiscal Year

SEC Form 17-Q
STOCK

FORM TYPE

0414

Month Day
Annual Meeting

N/A

Secondary License Type, If Applicable

Dept. Requiring this Doc.

Article VII (on August 2020)

Amended Articles Number/Section

903

Total No. of Stockholders

Total Amount of Borrowings

₱60.04 billion	₱41.02 billion
Domestic	Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q
ANNUAL REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES**

1. **For the fiscal year ended:** September 30, 2024
2. **SEC Identification Number:** A1996-11593
3. **BIR Tax Identification Code:** 005-038-428
4. **Name of Registrant as specified in its charter:** Manila Water Company, Inc.
5. **Province, country or other jurisdiction of incorporation or organization:** Quezon City, Philippines
6. **Industry Classification Code:** _____ (SEC Use Only)
7. **Address of principal office:** MWSS Administration Building, No. 489 Katipunan Road, Balara, Quezon City, Philippines, 1105
8. **Registrant's telephone number:** 0917-1547-921
9. **Former name, former address, and formal fiscal year:** N/A

10. **Securities registered pursuant to Sections 8 and 12 of the Securities Regulation Code (SRC):**

a. Shares of stock

Title of Each Class	Number of Shares
Authorized capital stock	
Common shares (₱1.00 par value)	3,100,000,000
Preferred shares (₱0.10 par value)	4,000,000,000
Number of shares outstanding	
Common shares (₱1.00 par value)	2,597,094,010*
Preferred shares (₱0.10 par value)	3,563,756,068*

**Excludes the treasury shares that were acquired by the Company.*

Amount of debt outstanding as of September 30, 2024: ₱103.06 billion (bank borrowings and bonds)

b. Debt securities

None. The Company has no other registered securities either in the form of shares, debt or otherwise.

11. **Are any of Registrant's securities listed in a Stock Exchange?** Yes ☒ No ☐

12. **Indicate by check mark whether the registrant:**

- a. Has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)
Yes ☒ No ☐
- b. Has been subject to such filing requirements for the past ninety (90) days.
Yes ☒ No ☐

PART I – FINANCIAL INFORMATION

- I. Financial Statements
- II. Management's Discussion and Analysis of Results of Operations and Financial Condition

MANILA WATER COMPANY, INC. AND SUBSIDIARIES**INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**

(Amounts in Thousands)

	September 30, 2024 Unaudited	December 31, 2023 Audited
ASSETS		
Current Assets		
Cash and cash equivalents (Note 6)	₱8,546,480	₱10,752,734
Receivables (Note 7)	3,824,969	2,904,920
Contract assets - current portion (Notes 5 and 7)	453,682	549,873
Inventories	425,556	380,615
Other current assets (Note 8)	1,821,906	1,534,553
Assets held for sale (Note 4)	1,126,875	—
Total Current Assets	16,199,468	16,122,695
Noncurrent Assets		
Property, plant and equipment and software (Note 5)	9,227,154	9,108,755
Service concession assets (Notes 5 and 9)	175,933,707	162,217,499
Right-of-use assets (Note 5)	520,639	328,466
Contract assets - net of current portion (Notes 5 and 7)	1,273,664	1,168,784
Investments in associates (Note 5)	11,533,675	11,191,568
Goodwill (Notes 4 and 5)	300,077	6,247
Deferred tax assets - net	510,704	499,689
Other noncurrent assets (Note 5)	8,098,406	9,043,699
Total Noncurrent Assets	207,398,026	193,564,707
	₱223,597,494	₱209,687,402
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts and other payables	₱19,253,663	₱18,761,073
Short-term debt (Note 10)	8,207,205	135,000
Current portion of:		
Long-term debt (Note 10)	8,550,900	16,971,501
Service concession obligations	534,837	910,633
Contract liabilities	409,069	389,571
Lease liabilities	90,927	117,030
Income tax payable	824,750	339,116
Liabilities directly related to assets held for sale (Note 4)	1,130,557	—
Total Current Liabilities	39,001,908	37,623,924
Noncurrent Liabilities		
Noncurrent portion of:		
Long-term debt (Note 10)	86,302,839	82,275,950
Service concession obligations	14,703,653	15,214,188
Contract liabilities	1,177,613	921,420
Lease liabilities	326,004	215,348
Pension liabilities – net	526,468	388,222
Deferred tax liabilities – net	2,384,360	1,052,305
Provisions	454,041	402,659
Other noncurrent liabilities	1,127,244	1,473,943
Total Noncurrent Liabilities	107,002,222	101,944,035
Total Liabilities	146,004,130	139,567,959

(Forward)

	September 30, 2024 Unaudited	December 31, 2023 Audited
Equity		
Attributable to equity holders of Manila Water Company, Inc.:		
Capital stock:		
Common stock	₱2,885,796	₱2,884,840
Preferred stock	400,000	400,000
	3,285,796	3,284,840
Additional paid-in capital	14,501,669	14,458,016
Treasury shares:		
Common stock	(4,949,053)	(4,996,646)
Preferred stock	(752,978)	(752,978)
Subscriptions receivable	(5,604,332)	(5,607,258)
Total paid-up capital (Note 13)	6,481,102	6,385,974
Retained earnings:		
Appropriated	56,500,000	56,500,000
Unappropriated	12,450,255	5,717,749
Cumulative translation adjustment	594,262	741,911
Remeasurement loss on defined benefit plans	(268,520)	(231,817)
Equity in other comprehensive loss of an associate	7,397	2,734
Hedging reserves (Note 18)	—	(64,919)
Other equity reserves	(144,458)	(144,458)
	75,620,038	68,907,174
Noncontrolling interests	1,973,326	1,212,269
Total Equity	77,593,364	70,119,443
	₱223,597,494	₱209,687,402

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Thousands Except Earnings per Share Figures)

	Quarters Ended September 30		Periods Ended September 30	
	2024	2023	2024	2023
CONTINUING OPERATIONS				
REVENUE FROM CONTRACTS WITH CUSTOMERS				
Water and used water revenues (Note 15)	₱8,683,338	₱7,331,123	₱26,045,906	₱21,311,373
Other operating revenues (Notes 11 and 15)	465,918	346,921	1,363,177	1,619,191
FINANCE INCOME FROM CONTRACT ASSETS (Note 7)	43,613	74,921	137,983	213,636
	9,192,869	7,752,965	27,547,066	23,144,200
COSTS OF SERVICES				
Depreciation and amortization	1,161,973	958,371	3,274,208	2,703,583
Power, light and water	606,697	583,914	1,819,059	1,791,680
Salaries, wages and employee benefits	348,337	386,785	1,026,250	960,288
Water treatment chemicals	133,918	102,356	302,219	253,980
Regulatory costs	118,692	96,825	360,164	289,858
Contractual services	116,346	130,462	311,571	519,472
Repairs and maintenance	100,236	110,011	390,275	339,242
Wastewater costs	55,361	43,313	163,281	162,036
Water tankering and bulk water	(46,609)	62,913	150,729	183,378
Collection fees	41,425	41,796	121,415	119,022
Amortization of water service connections	37,265	48,999	132,065	135,767
Other expenses	106,910	68,374	398,691	199,237
	2,780,551	2,634,119	8,449,927	7,657,543
GROSS PROFIT	6,412,318	5,118,846	19,097,139	15,486,657
OPERATING EXPENSES (Note 11)	1,430,382	1,267,584	4,032,226	3,933,620
INCOME BEFORE OTHER INCOME (EXPENSES)	4,981,936	3,851,262	15,064,913	11,553,037
OTHER INCOME (EXPENSES)				
Revenue from rehabilitation works	6,567,710	4,572,085	16,237,206	11,493,301
Cost of rehabilitation works	(6,567,710)	(4,572,085)	(16,237,206)	(11,493,301)
Foreign exchange gains (losses) – net	1,478,636	(645,894)	(590,464)	(401,449)
Foreign currency differentials	(1,452,565)	640,744	870,537	397,255
Interest expense (Note 11)	(902,882)	(913,565)	(2,730,796)	(2,825,693)
Interest income (Note 11)	104,031	79,757	302,165	235,436
Equity share in net income of associates	79,001	113,715	293,909	408,948
Losses on disposal of property and equipment – net	(253)	(1,541)	(83)	(10,882)
Other income (losses) - net (Notes 5 and 11)	68,164	(1,799)	497,563	346,197
	(625,868)	(728,583)	(1,357,169)	(1,850,188)
INCOME BEFORE INCOME TAX FROM CONTINUING OPERATIONS	4,356,068	3,122,679	13,707,744	9,702,849
PROVISION FOR INCOME TAX - NET (Note 12)	1,026,274	817,676	3,217,354	2,178,219
NET INCOME FROM CONTINUING OPERATIONS	3,329,794	2,305,003	10,490,390	7,524,630
NET LOSS FROM DISCONTINUED OPERATIONS	(856)	(9)	(1,319)	(724)
NET INCOME	₱3,328,938	₱2,304,994	₱10,489,071	₱7,523,906
OTHER COMPREHENSIVE INCOME (LOSS)				
Other comprehensive income (loss) to be reclassified to profit or loss in subsequent periods:				
Cumulative translation adjustment	₱517,375	₱225,749	(₱99,026)	₱348,164
Gain (loss) on net investment hedge (Note 18)	254,032	(135,153)	(64,831)	(80,693)
Gain on cash flow hedge (Note 18)	–	666,092	–	507,977
Cost of hedging (Note 18)	–	127,537	–	(325,843)
Income tax effect	(63,508)	(164,620)	16,208	(25,361)
	707,899	719,605	(147,649)	424,244
Other comprehensive income (loss) not to be reclassified to profit or loss in subsequent periods:				
Actuarial loss on pension liabilities	–	–	(48,937)	(38,717)
Equity share in other comprehensive income of an associate	330	–	4,663	–
Income tax effect	–	–	12,234	9,679
	330	–	(32,040)	(29,038)
TOTAL COMPREHENSIVE INCOME	₱4,037,167	₱3,024,599	₱10,309,382	₱7,919,112

(Forward)

	Quarters Ended September 30		Periods Ended September 30	
	2024	2023	2024	2023
Net income attributable to:				
Equity holders of Manila Water Company, Inc.	₱3,188,029	₱2,214,267	₱10,102,596	₱7,262,138
Noncontrolling interests	140,909	90,727	386,475	261,768
	₱3,328,938	₱2,304,994	₱10,489,071	₱7,523,906
Total comprehensive income attributable to:				
Equity holders of Manila Water Company, Inc.	₱3,896,258	₱2,933,872	₱9,922,907	₱7,657,344
Noncontrolling interests	140,909	90,727	386,475	261,768
	₱4,037,167	₱3,024,599	₱10,309,382	₱7,919,112
Earnings Per Share before Discontinued Operations (Note 14)				
Net income attributable to common equity holders of Manila Water Company, Inc.:				
Basic	₱1.08	₱0.67	₱3.43	₱2.21
Diluted	₱1.08	₱0.67	₱3.43	₱2.21
Earnings Per Share (Note 14)				
Net income attributable to common equity holders of Manila Water Company, Inc.:				
Basic	₱1.08	₱0.67	₱3.43	₱2.21
Diluted	₱1.08	₱0.67	₱3.43	₱2.21

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(Amounts in Thousands)

September 30, 2024									
	Other Comprehensive Income								Total
	Paid-in Capital (Note 13)	Retained Earnings	Cumulative Translation Adjustments	Hedging Reserves (Note 18)	Remeasurement Losses on Defined Benefit Plans	Equity Share in Other Comprehensive Loss of Associate	Other Equity Reserves (Note 13)	Noncontrolling Interests (NCI) (Note 13)	
Balance at beginning of period	₱6,385,974	₱62,217,749	₱741,911	(₱64,919)	(₱231,817)	₱2,734	(₱144,458)	₱1,212,269	₱70,119,443
Net income	—	10,102,596	—	—	—	—	—	386,475	10,489,071
Other comprehensive income	—	—	(147,649)	—	(36,703)	4,663	—	—	(179,689)
Total comprehensive income	—	10,102,596	(147,649)	—	(36,703)	4,663	—	386,475	10,309,382
Unwinding of USD hedge	—	—	—	64,919	—	—	—	—	64,919
Movements in NCI	—	—	—	—	—	—	—	502,830	502,830
Dividends declared	—	(3,370,090)	—	—	—	—	—	(128,248)	(3,498,338)
Cost of share-based payments	95,128	—	—	—	—	—	—	—	95,128
Balance at end of period	₱6,481,102	₱68,950,255	₱594,262	₱—	(₱268,520)	₱7,397	(₱144,458)	₱1,973,326	₱77,593,364

September 30, 2023									
	Other Comprehensive Income								Total
	Paid-in Capital (Note 13)	Retained Earnings	Cumulative Translation Adjustments	Hedging Reserves (Note 18)	Remeasurement Losses on Defined Benefit Plans	Equity Share in Other Comprehensive Loss of Associate	Other Equity Reserves (Note 13)	Noncontrolling Interests (NCI) (Note 13)	
Balance at beginning of period	₱12,024,179	₱58,697,152	₱533,549	₱1,310,853	(₱167,831)	(₱1,907)	(₱144,458)	₱1,201,722	₱73,453,259
Net income	—	7,262,138	—	—	—	—	—	261,768	7,523,906
Other comprehensive income	—	—	287,643	136,601	(29,038)	—	—	—	395,206
Total comprehensive income	—	7,262,138	287,643	136,601	(29,038)	—	—	261,768	7,919,112
Unwinding of Euro hedge	—	—	—	(1,557,282)	—	—	—	—	(1,557,282)
Dividends declared	—	(2,072,972)	—	—	—	—	—	(35,246)	(2,108,218)
Cost of share-based payments	42,739	—	—	—	—	—	—	—	42,739
Collections of subscription receivable	15,564	—	—	—	—	—	—	—	15,564
Balance at end of period	₱12,082,482	₱63,886,318	₱821,192	(₱109,828)	(₱196,869)	(₱1,907)	(₱144,458)	₱1,428,244	₱77,765,174

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS

(Amounts in Thousands)

	Periods September 30	
	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax from continuing operations	₱13,707,744	₱9,702,849
Loss before income tax from discontinued operations	(1,309)	(511)
Income before income tax	13,706,435	9,702,338
Adjustments for:		
Depreciation and amortization	3,732,766	3,201,417
Interest expense	2,730,796	2,825,693
Interest income	(302,165)	(235,436)
Equity share in net income of associates	(293,909)	(408,948)
Pension expense, net of contributions and benefit payments	77,196	80,537
Share-based payments	95,128	42,739
Provisions for probable losses and impairment losses	56,250	50,252
Unrealized foreign exchange losses (gains)	2,295	(346,038)
Losses on disposal of property and equipment - net	83	10,882
Operating income before changes in operating assets and liabilities	19,804,875	14,923,436
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	(926,552)	(465,632)
Contract assets	(8,690)	122,468
Inventories	(65,163)	25,753
Other current assets	(432,579)	(116,436)
Service concession assets	(16,900,644)	(8,098,229)
Increase in:		
Accounts and other payables	2,484,250	65,422
Contract liabilities	298,893	232,882
Cash generated from operations	4,254,390	6,689,664
Income taxes paid	(1,272,228)	(1,235,160)
Net cash provided by operating activities	2,982,162	5,454,504
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisitions of:		
Property and equipment and software	(732,129)	(1,618,173)
Short-term investments	—	(5,000)
Interest received	304,932	229,832
Dividends received	207,788	186,599
Proceeds from:		
Sale of property and equipment	133	3,160
Maturity of short-term investments	—	133,418
Decrease in other noncurrent assets	833,002	141,522
Net cash provided (used) in investing activities	613,726	(928,642)
CASH FLOWS FROM FINANCING ACTIVITIES		
Availments of:		
Short-term debt (Note 10)	8,881,893	210,000
Long-term debt (Note 10)	7,456,002	4,724,898
Payments of:		
Long-term debt (Note 10)	(12,330,379)	(3,283,472)
Interest	(4,442,712)	(2,072,972)
Dividends to equity holders of the Parent Company	(3,370,090)	(3,802,901)
Service concession obligations	(1,073,267)	(1,016,739)
Principal portion of lease liabilities	(202,192)	(105,197)
Short-term debt (Note 10)	(822,000)	(252,872)
Dividends to noncontrolling interests	(128,248)	(35,246)
Movements in NCI	502,830	—
Collection of subscription receivable	—	15,564
Decrease in other noncurrent liabilities	(212,872)	(261,828)
Net cash used in financing activities	(5,741,035)	(5,880,765)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(2,145,147)	(1,354,903)
UNREALIZED FOREIGN EXCHANGE GAIN (LOSS) ON CASH AND CASH EQUIVALENTS	(1,425)	7,666
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	10,752,734	8,811,939
CASH AND CASH EQUIVALENTS BEFORE ASSETS HELD FOR SALE	8,606,162	7,464,702
CASH AND CASH EQUIVALENTS RELATED TO ASSETS HELD FOR SALE (Note 4)	(59,682)	—
CASH AND CASH EQUIVALENTS AT END OF PERIOD* (Note 6)	₱8,546,480	₱7,464,702

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Manila Water Company, Inc. (the Parent Company) and its subsidiaries (collectively referred to as the Group) are incorporated to provide water, integrated used water, sewerage and sanitation, distribution services, pipeworks, engineering, procurement and management services.

On November 14, 2024, the Parent Company's Board of Directors approved and authorized the release of the unaudited interim condensed financial statements.

Additional information about the Group, including the annual and quarterly reports can be found on the corporate website at www.manilawater.com.

The unaudited interim condensed consolidated financial statements are comprised of the financial statements of the Parent Company and the following subsidiaries:

	Country of Incorporation and Place of Business	Effective Percentages of Ownership	
		September 30, 2024	December 31, 2023
Manila Water Total Solutions Corp. (MWTs)	Philippines	100.00	100.00
Calasiao Water Company, Inc. (Calasiao Water)	-do-	90.00	90.00
Manila Water Asia Pacific Pte. Ltd. (MWAP)	Singapore	100.00	100.00
Kenh Dong Water Holdings Pte. Ltd. (KDWH)	-do-	100.00	100.00
Manila Water South Asia Holdings Pte. Ltd. (MWSAH)	-do-	100.00	100.00
Thu Duc Water Holdings Pte. Ltd. (TDWH)	-do-	100.00	100.00
Manila Water (Thailand) Co., Ltd. (MWTC)	Thailand	100.00	100.00
Manila South East Asia Water Holdings Pte. Ltd. (MSEA) ¹	Singapore	—	100.00
PT Manila Water Indonesia (PTMWI) ²	Indonesia	100.00	100.00
Manila Water Philippine Ventures, Inc. (MWPVI)	Philippines	100.00	100.00
Boracay Island Water Company, Inc. (Boracay Water)	-do-	80.00	80.00
Calbayog Water Company, Inc. (Calbayog Water)	-do-	60.00	60.00
Clark Water Corporation (Clark Water)	-do-	100.00	100.00
Filipinas Water Holdings Corp. (Filipinas Water) ³	-do-	100.00	100.00
Bulacan Water Company, Inc. (Bulacan Water)	-do-	90.00	90.00
Metro Ilagan Water Company, Inc. (Ilagan Water)	-do-	90.00	90.00
MWPV South Luzon Water Corp. (South Luzon Water)	-do-	100.00	100.00
Obando Water Company, Inc. (Obando Water)	-do-	90.00	90.00
Laguna AAWater Corporation (Laguna Water)	-do-	70.00	70.00
Equipacific HoldCo, Inc. (EHI)	-do-	70.00	—
Laguna Water District Aquatech Resources Corporation (LARC) ⁴	-do-	63.00	—
North Luzon Water Company, Inc. (North Luzon Water)	-do-	100.00	100.00
Davao del Norte Water Infrastructure Company, Inc. (Davao Water)	-do-	100.00	100.00
Tagum Water Company, Inc. (Tagum Water) ⁵	-do-	90.00	90.00
Manila Water Consortium, Inc. (MW Consortium)	-do-	79.63	79.63
Cebu Manila Water Development, Inc. (Cebu Water) ⁶	-do-	56.21	56.21
Aqua Centro MWPV Corp. (Aqua Centro)	-do-	100.00	100.00
Bulacan MWPV Development Corp. (BMDC)	-do-	100.00	100.00
EcoWater MWPV Corp. (EcoWater)	-do-	100.00	100.00
Leyte Water Company, Inc. (Leyte Water)	-do-	100.00	100.00
Manila Water Technical Ventures, Inc. (MWTv)	-do-	100.00	100.00
Zamboanga Water Company, Inc. (Zamboanga Water)	-do-	70.00	70.00

¹On September 18, 2024, MSEA was considered as officially dissolved in Singapore by the Accounting and Corporate Regulatory Authority.

²PTMWI is 95.00% owned by MSEA and 5.00% owned by an individual whose ownership has been pledged to MSEA.

³Filipinas Water is 49.00% owned by the Parent Company and 51.00% owned by MWPVI.

⁴Tagum Water is 90.00% owned by Davao Water. MWPVI's effective interest in Tagum Water is 90.00% by virtue of its 100.00% ownership interest in Davao Water as of September 30, 2024 and December 31, 2023.

⁵Cebu Water is 70.58% owned by MW Consortium. MWPVI's effective ownership interest in Cebu Water is 56.21% by virtue of its 79.63% ownership interest in MW Consortium as of September 30, 2024 and December 31, 2023.

⁶LARC is 90% owned by EHI. MWPVI's effective ownership interest in LARC is 63.00% by virtue of its 70.00% ownership interest in EHI as of September 30, 2024.

Unless otherwise indicated, the Philippines is the principal place of business and country of incorporation of the Group's subsidiaries.

2. Basis of Preparation and Summary of Changes to Significant Accounting Policies

Basis of Preparation

The unaudited interim condensed consolidated financial statements of the Group have been prepared using the historical cost basis. The Parent Company's presentation and functional currency is the Philippine Peso (₱, Peso or PHP). Amounts are rounded off to the nearest Peso, except otherwise stated.

Statement of Compliance

The unaudited interim condensed consolidated financial statements of the Group have been prepared in compliance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. Accordingly, the unaudited interim condensed consolidated financial statements do not include all the information and disclosures required in the annual audited consolidated financial statements and should be read in conjunction with the Group's annual consolidated financial statements as of and for the year ended December 31, 2023.

The preparation of the financial statements, in compliance with PFRSs, requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The estimates and assumptions used in the unaudited interim condensed consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the unaudited interim condensed consolidated financial statements. Actual results could differ from such estimates.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the unaudited interim condensed consolidated financial statements are consistent with those of the previous financial years, except for the following PFRSs, amended PFRSs and improvements to PFRS which were adopted as of January 1, 2024. Unless otherwise stated, the new standards and amendments did not have any material impact to the Group.

- a. Amendments to PAS 1, *Presentation of Financial Statements – Classification of Liabilities as Current or Noncurrent*

The amendments clarify:

- that only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- that classification is unaffected by the likelihood that an entity will exercise its deferral right, and
- that only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively.

- b. Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively. Earlier adoption is permitted and that fact must be disclosed.

Future Changes in Accounting Policies

Pronouncements issued but not yet effective are listed below. The Group intends to adopt the following pronouncements when they become effective. Unless otherwise indicated, the Group does not expect that the future adoption of these pronouncements will have a significant impact on its consolidated financial statements.

Effective beginning on or after January 1, 2025:

- a. PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- a specific adaptation for contracts with direct participation features (the variable fee approach); and
- a simplified approach (the premium allocation approach) mainly for short-duration contracts.

On December 15, 2021, the Financial Reporting Standards Council (FRSC) amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

b. Amendments to PAS 21, Lack of exchangeability

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Interpretation with Deferred Effective Date -

a. Amendments to PFRS 10, Consolidated Financial Statements, and PAS 28, Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council postponed the original effective date of January 1, 2016 of the said amendments until the IASB has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. Notes to the Unaudited Interim Condensed Consolidated Financial Statements

- a. The Group does not have any significant seasonality or cyclicalities in its interim operations, except for the usually higher demand during the summer months of April to June.
- b. The Group has not made any modification to its existing debt and has not availed of any extension in debt servicing.

As of September 30, 2024, there were no other known trends, demands, commitments, events or uncertainties that have material impact on the Group's liquidity.

- c. Other than the items disclosed in the unaudited interim condensed consolidated financial statements, the Group did not acquire assets nor incur liabilities that are material in amount for the period ended September 30, 2024.
- d. Except for the shareholder transaction related to the sale by Ayala Corporation, Michigan Holdings, Inc. and Philwater Holdings Company, Inc. of their Parent Company's common and preferred shares to Trident Water Company Holdings, Inc. (Trident Water) (see Note 4), there were no off-balance sheet transactions, arrangements, and obligations created during the reporting period.

- e. Future events may occur which may cause the assumptions used in arriving at the estimates to change. The effect of any change in estimates will be recorded in the consolidated financial statements as they become reasonably determinable. There were no material changes in estimates of amounts reported in the prior interim period of the prior financial year.
- f. The Group has not been subjected and is not subject to any bankruptcy, receivership, or similar proceedings. It has not made any material reclassification, purchase, or sale of any significant amount of assets which are not in the ordinary course of business.
- g. The Group has various contingent liabilities arising from the ordinary conduct of business which are either pending decision by the courts or are being contested, the outcomes of which are not presently determinable.
- h. There were no adjusting or non-adjusting events after the September 30, 2024 interim period reporting date up to the date of authorization for issuance of the unaudited interim condensed financial statements.

4. Significant Events and Transactions

East Zone

a. Parent Company's increase in Tariff Rate

Beginning January 2023 through 2027, the Parent Company implemented the new tariff rates based on the MWSS Board of Trustees (BOT) Resolution No. 2022-148-RO approved on November 10, 2022. The Resolution outlines the Parent Company's Rebasing Adjustment for the Sixth Rate Rebasing Period (2023 to 2027) as recommended by the MWSS Regulatory Office (RO) Resolution No. 2012-12-CA. The implementation of Rebasing Adjustment from 2023 to 2027 on a staggered basis is scheduled as follows:

- ₱8.04 on January 1, 2023,
- ₱5.00 on January 1, 2024,
- ₱3.25 on January 1, 2025,
- ₱1.91 to ₱3.00 on January 1, 2026, and
- ₱1.05 to ₱1.08 on January 1, 2027.

Effective January 1, 2024, the Parent Company implemented the second tranche of the approved Rate Rebasing Adjustment equivalent to 14.35% and adjustment due to changes in Consumer Price Index equivalent to 3.53% on the existing Basic Charge, based on MWS-RO Resolution No. 2023-16-CA dated November 14, 2023 and as approved by the MWSS Board Resolution No. 2023-145-RO dated November 22, 2023. Accordingly, the Parent Company was allowed to raise its rate by an average of ₱6.40 per cubic meter.

The approval also includes an indicative adjustment of about 0.97 to 1.00 or 2.12% in January 1, 2028 due to non-full recovery of the total expenses for the Wawa Bulk Water Supply Project in compliance with MWSS BOT. However, this amount will be subject to the next Rate Rebasing exercise.

Furthermore, the environmental charge increased from 20% to 25% beginning January 1, 2023, and will increase from 25% to 30% beginning January 1, 2026. Sewer charge increased from 30% to 32.85% beginning January 1, 2023, subject to Manila Water's attainment of sewer coverage of 30% by the end of 2025.

b. Divestment of Ayala Corporations investment in Manila Water

On May 17, 2024, Trident Water Company Holdings, Inc. (Trident), MWC's major shareholder, executed with Ayala Corporation (AC) and its wholly-owned subsidiary, Michigan Holdings, Inc. (Michigan), the underlying agreements for the special block sales covering AC's and Michigan's 577,997,467 MWC common shares.

Trident and Philwater Holdings Company, Inc. (Philwater), a wholly-owned subsidiary of AC, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares.

The gross consideration for these transactions among Trident and AC, Michigan, and Philwater (collectively, "Ayala"), amounted to ₱14.5 billion. As of September 30, 2024, Ayala no longer held common and preference shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares. Moreover, the economic and voting ownership of Trident increased to 62.18% and 81.83%, respectively, as of September 30, 2024.

The above shareholder transactions have no impact on the Parent Company's books.

- c. Effectivity of Parent Company's Foreign Currency Denominated Adjustments (FCDA) based on the Amendment to the Revised Concession Agreement (Amended RCA)

On August 7, 2024, MWSS BOT, upon the recommendation of the MWSS RO, approved the FCDA Guidelines describing the mechanics to determine the FCDA.

On September 12, 2024, MWSS BOT approved the implementation FCDA of 2.03% of the 2024 average basic charge of ₱42.26 per cubic meter or ₱0.86 per cubic meter pursuant to the provisions of Amended RCA. The tariff shall be adjusted upward by an average of ₱0.88 per cubic meter effective October 1, 2024.

As provided in the Amended RCA between MWSS and the Parent Company, the FCDA is a pass-through charge to account for foreign exchange gains or losses arising from the Parent Company's payments of specific concession loans identified in the Amended RCA.

Non-East Zone (Philippines)

- a. Share Purchase Agreement between Filipinas Water and MC Bulacan Water Services Corporation

On May 15, 2024, Filipinas Water signed a Share Purchase Agreement (SPA) with SMC Bulacan Water Services Corporation (SMC Bulacan) for the sale of all of its interests constituting 90% stake (135,000,000 shares) in Bulacan Water and 90% stake (88,200,000 shares) in Obando Water. The transaction will monetize Filipinas Water's assets, and the proceeds will be used to fund other strategic initiatives of MWC and MWPVI. The total purchase price for the shares amounted to ₱1,024.57 million. As of September 30, 2024, both parties are ongoing with the completion of conditions precedent prior to closing. Moreover, as of September 30, 2024, the operations of both entities are still ongoing and being managed by the Group.

The above transaction qualified with the requirements of PFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*. Accordingly, all assets and liabilities of Bulacan Water and Obando Water were reclassified to assets and liabilities held for sale. The major classes of assets and liabilities of Bulacan Water and Obando Water classified as held for sale as of September 30, 2024, are as follows (amounts in thousands):

Assets	
Cash and cash equivalents	₱59,682
Receivables	20,265
Other current assets	23,798
Service concession assets	945,555
Property, plant and equipment	35,927
Other non-current assets	41,648
Assets held for sale	1,126,875
Liabilities	
Accounts and other payables	(69,297)
Other current liabilities	(2,206)
Long-term debt	(130,089)
Service concession obligations	(763,245)
Other non-current liabilities	(165,720)
Liabilities directly related to assets held for sale	(1,130,557)
Net liabilities directly associated with disposal group	(₱3,682)

On October 22, 2024, the closing conditions of SPA have been complied with by Filipinas Water and SMC Bulacan. On the same date, amendments to the respective Joint Venture Agreements were also executed, whereby SMC Bulacan replaces Filipinas Water as the joint venture partner of the water districts.

- b. MWPVI Acquisition of 70% of the Outstanding Capital Stock of Equipacific HoldCo Inc. ("EHI")

On April 17, 2024, MWPVI entered into a share purchase agreement with Equi-Parco Holdings Corporation, Metropac Water Investments Corporation, and TwinPeak Hydro Resources Corporation for the sale and purchase of their 30%, 30% and 10% interest, respectively, in EHI, equivalent to a total of 315,015,625 shares. The purchase price is ₱3.65 per share resulting in a total purchase price of ₱1,150 million. MWPVI's non-controlling interest in EHI as of the acquisition date is 30%. The acquisition will allow MWPVI to establish a stronger foothold and strategically grow its water and wastewater supply operations in the Province of Laguna.

EHI is an investment company which holds ninety percent (90%) of the outstanding shares of Laguna Water District Aquatech Resources Corporation (LARC), a joint-venture company formed for the rehabilitation, improvement, expansion, operation, and maintenance of the water supply system of the Laguna Water District in the towns of Los Baños, Bay, Calauan, Victoria and Nagcarlan in the Province of Laguna. Accordingly, MWPVI's effective interest in LARC as of the acquisition date is 63%.

The Group elected to measure the non-controlling interest in the acquiree at the proportionate share of its interest in the acquiree's identifiable net assets.

The net assets recognized by the Group were based on a provisional assessment of their fair value while the Group sought an independent valuation for the service concession assets owned by LARC. As of September 30, 2024, the valuation is yet to be completed.

From the date of acquisition, LARC contributed ₱142.47 million of revenue and ₱4.50 million loss before tax from continuing operations of the Group.

The fair value of the identifiable assets and liabilities of the LARC as at the date of acquisition were as follows (*amounts in thousands*):

Assets	
Cash and cash equivalents	₱28,718
Receivables	89,981
Other current assets	26,340
Service concession assets	1,234,434
Property, plant and equipment	92,012
Other non-current assets	45,418
Assets held for sale	1,516,903
Liabilities	
Accounts and other payables	(151,201)
Other non-current liabilities	(6,702)
Liabilities directly related to assets held for sale	(157,903)
Total identifiable net assets at fair value	1,359,000
Non-controlling interest (37% of net assets)	(502,830)
Purchase consideration transferred	(1,150,000)
Goodwill arising on acquisition	₱293,830

Below is the cash flow on acquisition (*amounts in thousands*):

Net cash acquired with the subsidiary	28,718
Cash paid	(920,000)
Amount still payable	(230,000)
Net cash flow on acquisition	(₱1,121,282)

- c. MWPVI's Cebu North Bulk Water Supply Project with Metropolitan Cebu Water District (MCWD)
On January 30, 2024, MWPVI and MCWD signed the Cebu North Bulk Water Supply Project Contract Agreement. This includes commencement of water delivery on February 1, 2024, with contractual volume of 30 MLD and a tariff of ₱58.00 per cubic meter for the first five (5) years and ₱64.96 per cubic meter for the next five (5) years. Terms in the contract includes construction period of one (1) year and water delivery in the succeeding ten (10) years. MWPVI will be using the existing water facilities of CMWD to deliver the contractual volume.
- d. Boracay Water's Tariff Adjustment Implementation
Effective January 1, 2024, Boracay Water implemented the second tranche of rebasing convergence adjustment equivalent to 14.02% upward adjustment which includes 6.10% CPI, in accordance with the approved new rates by Tourism Infrastructure and Enterprise Zone Authority (TIEZA) on December 14, 2023.
- e. Clark Water's Rate Rebasing Tariff Adjustment Implementation
Effective January 1, 2024, Clark Water implemented a 36% tariff increase amounting to ₱14.50 per cubic meter water charge in accordance with the 60% tariff increase based on Rate Rebasing (RR22) approved by the BOD of Clark Development Corporation on December 20, 2023. The RR22 will be implemented in 3 tranches (60-20-20).
- f. Laguna Water's Tariff Adjustment Implementation
Effective January 2024, Laguna Water implemented 34% increase in average tariff both on its domestic and industrial accounts.

- g. Estate Water Group's Tariff Adjustment Implementation
Effective in the 1st quarter of 2024, Estate Water, Aqua Centro, Bulacan Aqua Estate (Estate Water Group) implemented an average 15% tariff increase in 65 developments across the Philippines.
- h. MWTS Equity Restructuring
On June 22, 2023, MWTS applied for Equity Restructuring and Decrease of Capital Stock to SEC. SEC Company Registration and Monitoring Department (CRMD) accepted and processed the documentary requirements on August 10, 2023.

On January 31, 2024, the SEC approved MWTS' application for decrease in authorized capital stock from ₱1,000,000,000 divided into 600,000,000 common share of the par value of ₱1.00 each and 400,000,000 redeemable preferred shares of the par value of ₱1.00 each, to ₱350,875,309 divided into 210,525,185 common shares of the par value of ₱1.00 each and 140,350,124 redeemable preferred shares of the par value of ₱1.00 each. This resulted in capital stock of ₱203,075,309 and additional paid in capital of ₱649,124,691 after the approval. The decrease in authorized capital stock was approved by the Board of Directors and the shareholders on February 3, 2022.
- i. Clark Water's Extraordinary Tariff Adjustment Implementation
Effective April 1, 2024, Clark Water implemented the second tranche of extraordinary tariff adjustment in accordance with the rate approved by BOD Clark Development Corporation (CDC) last February 2, 2023. The ETA amounts to ₱3.05 per cubic meter water charge staggered equally in four years.
- j. Clark Water's Amendment of Concession Agreement
On September 18, 2024, Clark Water and Clark Development Corporation (CDC) executed a fourth amendment to the Concession Agreement which is considered effective on the same date. These amendments clarify financial obligations, compensation terms for MAGA, and introduce mechanisms for adjusting tariffs in response to extraordinary circumstances. Below are the key changes in the seventh amendment to the Concession Agreement:
- Additional Concession Fee (*Clause 16.5*)
 - Definition of Material Adverse Government Action (MAGA)
 - Extraordinary Tariff Adjustment (*Clause 17B, Annex F*)
 - CDC Events of Default (*Clause 23.2*)
 - Arbitration (*Clause 29*)
 - Expenditures and Tariff Adjustment Calculations
 - Provisional CPI Adjustment (*Clause 16.6*)
- k. Metro Ilagan Water's Interim Agreement with City of Ilagan Water District (CIWD)
On August 14, 2024, Metro Ilagan Water entered into an interim agreement with CIWD for a one-year supply of chlorinated water by Metro Ilagan Water to CIWD at ₱10.00 per cubic meter. The supply of chlorinated water started in September 2024 using the existing water treatment facilities and pipeline networks of Metro Ilagan Water.

5. Impairment Testing of Goodwill and Nonfinancial Assets

The Group performs its annual impairment test in December and when circumstances indicate that the carrying value of its assets may be impaired. The Group's recoverable amount of goodwill and intangible assets with indefinite lives is based on the higher of the fair value less cost to sell and value in use. The key assumptions used to determine the recoverable amount for the different cash generating units were disclosed in the annual consolidated financial statements for the year ended December 31, 2023.

The Group's nonfinancial assets consist of property, plant and equipment and software, service concession assets (SCA), contract assets representing SCA under construction, right-of-use assets, investments in associates, water rights, and deposits under other current and noncurrent assets.

For the period ended September 30, 2024, the Group has not recognized any impairment loss on its investments in Thu Duc Water BOO Corporation (Thu Duc Water), Kenh Dong Water Supply Joint Stock Company (Kenh Dong Water), PT Sarana Tirta Ungaran (PT STU), IWP and IWP2. As of September 30, 2024, the Group has accumulated allowance for impairment on its investments in Eastern Water Resources Development and Management Public Company Limited (East Water), Saigon Water Infrastructure Corporation (Saigon Water), and Cu Chi Water amounting to ₱4,543.97 million.

As of September 30, 2024, the Parent Company's market capitalization was below its net book value. However, management determined that, as of September 30, 2024, the recoverable amount of the Parent Company's nonfinancial assets based on appraised values was higher than its net book value. Accordingly, the Group did not recognize any impairment loss on the Parent Company's nonfinancial assets particularly its property, plant and equipment and software and SCA amounting to ₱1,092.20 million and ₱158,486.30 million, respectively.

Except for those discussed above, as of September 30, 2024, there were no other indicators of impairment for the Group's property, plant and equipment and software, SCA, contract assets representing SCA under construction, right-of-use assets, water rights, and deposits under other current and noncurrent assets.

6. Cash and Cash Equivalents and Short-term Investments

This account consists of:

	September 30, 2024	December 31, 2023
	(in Thousands)	
Cash on hand and in banks	₱2,427,087	₱1,109,922
Cash equivalents	6,119,393	9,642,812
	₱8,546,480	₱10,752,734

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are highly liquid investments with varying periods of up to three (3) months and earn interest at the respective short-term rates.

As of September 30, 2024, cash and cash equivalents related to assets held for sale amounted to ₱59.07 million (see Note 4).

7. Receivables and Contract Assets

a. Receivables

This account consists of:

	September 30, 2024	December 31, 2023
	(in Thousands)	
Customers of:		
Water and used water services:		
Residential	₱3,141,928	₱2,669,185
Commercial	730,370	478,465
Semi-business	250,768	193,396
Industrial	80,198	41,862
Supervision fees	425,086	291,522
Pipework services	131,757	172,132
Distributor's fees	112,303	117,107
Technical due diligence services	2,927	3,283
Associates	53,341	58,429
Zamboanga City Water District (ZCWD)	39,510	39,510
Interest from banks	24,523	13,142
Employees	42,282	17,150
Others	412,437	331,616
	5,447,430	4,426,799
Less allowance for expected credit losses (ECL)	1,622,461	1,521,879
	₱3,824,969	₱2,904,920

Other receivables include receivables for cross-border billings, receivables from shared and collection facilities, and receivables for liquidated damages on the Parent Company's bulk water contract.

The Group recognized provisions for ECL amounting to ₱123.24 million and ₱136.14 million for the period September 30, 2024 and 2023, respectively (see Note 11).

b. *Contract assets*

This account consists of:

	September 30, 2024	December 31, 2023
	(in Thousands)	
Contract assets from:		
Supervision fees	₱319,053	₱364,631
Non-Revenue Water Reduction Service Agreement (NRWSA) with Zamboanga City Water District (ZCWD)	285,929	285,929
Pipeworks and integrated used water services	26,491	72,547
Bulk water contracts - Tagum Water District (TWD)	108,138	112,695
Current portion	739,611	835,802
Bulk water contracts:		
TWD	885,177	855,597
City of Ilagan Water District (CIWD)	418,881	340,134
Noncurrent portion	1,304,058	1,195,731
	2,043,669	2,031,533
Less: Allowance for ECLs	316,323	312,876
	₱1,727,346	₱1,718,657

8. **Other Current Assets**

This account consists of:

	September 30, 2024	December 31, 2023
	(in Thousands)	
Prepaid expenses	₱862,908	₱417,377
Net input value-added taxes (VAT)	772,837	926,699
Advances to contractors and deposits - net	186,161	190,477
	₱1,821,906	₱1,534,553

9. **Service Concession Assets**

Service concession assets (SCA) consist of the present value of total estimated concession fee payments, including regulatory costs and local component costs, of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Obando Water, Bulakan Water, Ilagan Water (septage management), South Luzon Water, Laguna Water, Bulk Water Agreement with Wawa JV, Co., and Aqua Centro (Lambunao Project) pursuant to the Group's concession agreements, JVs and Septage Management Agreement (SMA); and the revenue from rehabilitation works which is equivalent to the related cost for the rehabilitation works covered by the concession arrangements, JVs and SMA.

Contract assets shown as part of SCA arising from concession agreements consist of the cost of rehabilitation works covered by the respective concession agreements, JVs and SMAs of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Obando Water, Bulakan Water, Ilagan Water, South Luzon Water, Laguna Water and Aqua Centro (Lambunao Project).

As of September 30, 2024 and 2023, total interest and other borrowing costs capitalized as part of the rehabilitation works amounted to ₱3,107.48 million and ₱1,982.21 million, respectively. The capitalization rate used for general borrowings was 4.51% and 4.11% in 2024 and 2023, respectively.

10. Short-term and Long-term Debt

For the period ended September 30, 2024, the Group's total proceeds from short-term and long-term debt amounted to ₱16,337.89 million consisting of availments of Parent Company (₱8,781.89), MWPV (₱6,186.40 million), MWPV (₱913.65 million), Metro Ilagan Water (₱100.00 million), South Luzon Water (₱138.95 million), Calbayog Water (₱130.00 million), Clark Water (₱50.00 million) and Aqua Centro (₱37.00 million); while payment for short-term and long-term debt amounted to ₱13,152.38 million consisting of Parent Company (₱3,753.47), MWTC (₱8,488.48 million), MWPV (₱333.90), Laguna Water (₱338.64 million), Clark Water (₱107.14 million), Tagum Water (₱35.25 million), Aqua Centro (₱31.08 million), South Luzon Water (₱31.02 million), Metro Ilagan Water (₱22.00 million) and Boracay Water (₱11.40 million).

Parent Company's short-term loan with Metropolitan Bank and Trust Company (MBTC)

On April 12, 2024, June 28, 2024 and July 31, 2024, the Parent Company made short-term drawdowns with MBTC aggregating to gross principal amount of ₱8,800.00 million. As of September 30, 2024, the carrying value of these loans amounted to ₱7,994.21 million.

Non-East Zone (Philippines) Short-Term Loans

Metro Ilagan's loan agreement with Philippine National Bank (PNB)

On September 22, 2023, Metro Ilagan entered into an Omnibus Line agreement with PNB with gross principal amount of ₱150.00 million. In the last quarter of 2023, Metro Ilagan made short-term loan drawdowns aggregating to gross principal amount of ₱135.00 million with maturities ranging from 58 to 90 days and subject to prevailing market rates. These loans were renewed in the first quarter of 2024 and additional drawdown was made with gross principal amount of ₱15.00 million on February 2, 2024.

In the second quarter of 2024, additional drawdowns were made aggregating to gross principal amount of ₱85.00 million. On September 10, 2024, Metro Ilagan made its last drawdown amounting to ₱15.00 million. The proceeds of the loans will be used for Metro Ilagan Water's CAPEX and general funding requirements. As of September 30, 2024, the carrying amount of the short-term loans, net of loan payments, amounted to ₱213.00 million.

Non-East Zone (Philippines) Long-Term Loans

MWPVI's loan agreement with Security Bank

On April 15, 2024, MWPVI made additional drawdown with its existing loan facility from Security Bank with gross principal amount of ₱920.00 million, subject to an interest rate based on 3Y BVAL rate plus credit spread. The proceeds of the loan will be used to finance the MWPVI's capital expenditures, future acquisitions, working capital and other general corporate requirements. The loan drawdown has a term of ten (10) years, with interest payable semi-annually starting on June 23, 2024, and principal repayments starting on June 23, 2025. The loan will mature on December 23, 2032.

South Luzon Water's loan agreement with Bank of the Philippine Islands (BPI)

On June 19, 2024, South Luzon Water made additional drawdown with its existing loan facility from BPI with gross principal amount of ₱40.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread.

On August 15, 2024, South Luzon Water made its last drawdown with gross principal amount of ₱100.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread. The proceeds of the loans will be used to partially finance its capital expenditure projects. Principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting August 25, 2024. The loan will mature on August 25, 2031.

Calbayog Water's loan agreement with BPI

On June 20, 2024, Calbayog Water made additional drawdown with its existing loan facility from BPI with gross principal amount of ₱30.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread.

On September 10 and 25, 2024, Calbayog Water made additional loan drawdowns with gross principal amount aggregating to ₱100.00 million, subject to an interest rate based on 5Y BVAL rate plus credit spread. The proceeds of the loan will be used to partially finance its capital expenditure projects. Principal payments will be made in fifteen (15) consecutive equal semi-annual installments starting October 2024. The loan will mature on October 22, 2031.

Clark Water's loan agreement with BPI

On September 24, 2024, Clark Water made its additional drawdown with gross principal amount of ₱50.00 million, subject to an interest rate based on 2Y BVAL rate plus credit spread. The proceeds of the loan will be used to partially finance its capital expenditure projects. Principal payments will be made in twenty-eight (28) consecutive equal quarterly installments starting February 2027. The loan will mature on November 17, 2033.

Non-East Zone (International) Long-Term Loans

MWAP's 3-year term loan with Mizuho Bank-Singapore Branch and ING N.V. Singapore

On March 1, 2024, MWAP signed a USD110 million, three (3)-year term loan facility with Mizuho Bank-Singapore Branch and ING N.V. Singapore. The loan was fully drawn on March 7, 2024 and was used to partly refinance gross principal amount of THB5.30 billion loan of MWTC with Mizuho Bank-Bangkok Branch and Bank of Ayudhya. The loan bears interest at the Secured Overnight Financing Rate plus margin and is guaranteed by the Parent Company. The carrying value of the loan amounted to ₱6.16 billion as of September 30, 2024.

Compliance with loan covenants

All loan agreements provide for certain covenants which must be complied by the Group which include compliance with certain financial ratios such as the debt-to-equity, debt-service-coverage and early termination, as well as limitations in the declaration of dividends to stockholders in some of the subsidiaries. As of September 30, 2024 and December 31, 2023, the Group was in compliance with all the loan covenants required by the creditors.

11. Other Operating Revenues, Operating Expenses, Interest Income and Interest Expense

Other operating revenues consists of:

	Periods Ended September 30	
	2024	2023
	(in Thousands)	
Cross-border billing	₱213,419	₱507,249
Supervision fees	200,945	220,750
Connection fees from water and service connections	186,472	168,873
Pipeworks and integrated used water services	146,064	285,893
Operations and maintenance services	108,584	100,815
Reconnection fees	89,795	68,189
Service income from bulk water contracts	80,227	13,171
Income from customer late payments	55,964	49,027
Septic sludge disposal and bacteriological water analysis	30,557	24,568
BNR and other miscellaneous revenues	251,150	180,656
	₱1,363,177	₱1,619,191

Operating expenses consist of:

	Periods Ended September 30	
	2024	2023
	(in Thousands)	
Salaries, wages and employee benefits	₱1,148,726	₱934,718
Management, technical and professional fees	1,007,524	771,082
Depreciation and amortization	458,558	497,833
Contractual services	304,501	275,327
Repairs and maintenance	293,234	337,319
Taxes and licenses	227,764	565,394
Insurance	225,199	161,463
Provisions for ECL on receivables and contract assets	123,238	136,141
Donations	63,829	23,119
Expenses arising from provisions and penalties	35,737	75,497
Transportation and travel	20,607	20,087
Business meetings and representation	16,169	12,734
Printing and communication	15,737	11,451
Advertising	12,495	10,697
Rent	10,444	10,309
Other expenses	68,464	90,449
	₱4,032,226	₱3,933,620

Interest expense consists of:

	Periods Ended September 30	
	2024	2023
	(in Thousands)	
Service concession obligations	₱873,610	₱846,065
Short-term and long-term debt:		
Coupon interest	1,687,192	1,710,478
Amortization of debt discount, issuance costs and premium	132,665	114,800
Pension and long-term sick leaves and vacation leaves liabilities	16,653	6,774
Lease liabilities	18,622	14,454
Hedging-related charges	1,043	131,833
Other financing charges	1,011	1,289
	₱2,730,796	₱2,825,693

Interest income consists of:

	Periods Ended September 30	
	2024	2023
	(in Thousands)	
Cash and cash equivalents	₱301,586	₱235,275
Others	579	161
	₱302,165	₱235,436

12. Income Taxes

Provision for income taxes consists of:

	Periods Ended September 30	
	2024	2023
	(in Thousands)	
Current	₱1,876,548	₱1,393,126
Final	24,453	16,055
Deferred	1,316,353	769,038
	₱3,217,354	₱2,178,219

13. Equity

Paid-in capital

The Parent Company's capital stock consists of:

	September 30, 2024		September 30, 2023	
	Shares	Amount	Shares	Amount
		(in Thousands)		(in Thousands)
Common stock - ₱1 per share				
Authorized	3,100,000,000	₱3,100,000	3,100,000,000	₱3,100,000
Issued and subscribed	2,885,795,897	2,885,796	2,884,839,617	2,884,840
Issued and outstanding	2,166,111,941	2,166,112	2,452,388,178	2,452,388
Preferred stock - ₱0.10 par value, 10% cumulative, voting, participating, nonredeemable and nonconvertible				
Authorized and issued				
- 4,000,000,000 shares	4,000,000,000	400,000	4,000,000,000	400,000
Issued and outstanding	3,563,756,068	356,376	4,000,000,000	400,000

The movement of the Parent Company's issued and outstanding common stock follows:

	September 30, 2024	September 30, 2023
Number of issued shares at beginning of the period	2,454,532,016	2,044,098,916
Additions	281,812	410,433,100
Number of issued shares at end of the period	2,454,813,828	2,454,532,016
Treasury shares	(288,701,887)	(2,143,838)
Number of issued and outstanding shares at end of the period	2,166,111,941	2,452,388,178

The movement of the Parent Company's issued and outstanding preferred stock follows:

	September 30, 2024	September 30, 2023
Number of issued shares at end of the period	4,000,000,000	4,000,000,000
Treasury shares	(436,243,932)	-
Number of issued and outstanding shares at end of the period	3,563,756,068	4,000,000,000

The movement of the Parent Company's paid-in capital for the periods ended September 30, 2024 and 2023 follows:

September 30, 2024							
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid-in Capital	Subscription Receivable	Treasury Shares	Paid-in Capital
	(in Thousands)						
Balance at beginning of period	₱2,454,532	₱430,308	₱400,000	₱14,458,016	(₱5,607,258)	(₱5,749,624)	₱6,385,974
Additions	-	956	-	(956)	-	-	-
Issuance of shares	282	(282)	-	-	-	-	-
Cost of share-based payments	-	-	-	44,609	2,926	47,593	95,128
Balance at end of period	₱2,454,814	₱430,982	₱400,000	₱14,501,669	(₱5,604,332)	(₱5,702,031)	₱6,481,102

September 30, 2023							
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid- in Capital	Subscription Receivable	Treasury Shares	Paid-in Capital
	(in Thousands)						
Balance at beginning of period	₱2,044,099	₱840,741	₱400,000	₱14,427,621	(₱5,644,968)	(₱43,314)	₱12,024,179
Issuance of shares	410,433	(410,433)	-	-	-	-	-
Collections	-	-	-	-	15,564	-	15,564
Cost of share-based payments	-	-	-	10,589	22,146	10,004	42,739
Balance at end of period	₱2,454,532	₱430,308	₱400,000	₱14,438,210	(₱5,607,258)	(₱33,310)	₱12,082,482

The movement in the Parent Company's common stock and subscribed common stock pertains to the issuance of shares related to the employee stock ownership plan (ESOWN) as the shareholders have made full payment of their subscription.

Treasury Shares

On September 31, 2022, the Parent Company's BOD approved a buy-back program in relation to the Stock Incentive Plan (SIP) for its senior leaders and officers. The Parent Company acquired 3,200,000 treasury shares for a total amount of ₱49.41 million.

On October 11, 2023, the Parent Company's BOD approved a buy-back of its shares with Ayala Corporation and Philwater Holdings Company, Inc. The Parent Company re-acquired its 288,998,734 common shares and 436,243,932 participating preferred shares, respectively, for a total amount of ₱5.7 billion. On the buy-back date, the transaction reduced Ayala Corporation's effective economic stake from 30.4% to 22.5% .

As of September 30, 2024 and 2023, total number of treasury shares - common stock follows:

	September 30, 2024	September 30, 2023
Number of shares at beginning of year	291,142,572	2,798,809
Acquisitions (reissuance) of shares	(2,440,685)	(654,971)
Number of shares at end of year	288,701,887	2,143,838

As of September 30, 2024 and 2023, total number of participating preferred shares held in treasury shares amounted to 436,243,932 shares and nil, respectively.

Dividends

On February 29, 2024, the Parent Company's BOD approved the declaration of cash dividends on the outstanding capital stock summarized below:

Declaration Date	Record Date	Amount Per Share		Payment Date
		Common Shares	Participating Preferred Shares	
February 29, 2024	March 18, 2024	1.129	0.113	April 12, 2024

Retained Earnings

On November 14, 2024, the Parent Company's BOD approved the appropriation of ₱3,015.56 million to ensure the completion of the Parent Company's large system projects included in its approved Business Plan. The implementation of these projects is consistent with the timeline of the approved Business Plan which covers until the end of the concession period.

Stock Incentive Plan (SIP)

On February 24, 2022, the BOD approved the Stock Incentive Plan, which is a performance-based bonus extended to the senior leadership, officers, and consultants of Manila Water, its subsidiaries and affiliates, in the form of Manila Water shares as equity-settled transactions, in lieu of cash incentives and bonuses. Shares to be awarded shall vest in three (3) years: 25.00% on the first anniversary date of the award; 25.00% on the second anniversary date of the award; and 50.00% on the third anniversary date of the award. Vesting shall grant the grantee absolute beneficial title and rights over the shares, including full dividend and voting rights. The shares for the SIP will be acquired from the market and held in treasury before they are issued to the SIP grantees. The SIP is in addition to the existing ESOP and ESOWN Plans.

Details of the SIP follows:

	September 30, 2024	December 31, 2023
Cumulative number of granted shares*	15,066,049	8,631,911
Dates of grant	April 5, 2024/ April 14, 2023/ April 22, 2022	April 14, 2023/ April 22, 2022
Fair values of shares at grant date	21.65/ 19.66/ 19.20	19.66/ 19.20

*Includes 588,072 shares and 259,396 shares adjusted by dividend reinvestment plan as of September 30, 2024 and December 31, 2023, respectively.

Summary of vested and unvested shares follows:

	September 30, 2024	December 31, 2023
Vested shares	8,355,767	4,589,303
Unvested shares	6,710,282	4,042,688
	15,066,049	8,631,991

14. Earnings per Share (EPS)

Earnings per share amounts attributable to equity holders of the Parent Company as follows:

	Periods Ended September 30	
	2024	2023
	(in Thousands Except Earnings per Share)	
Net income (loss) attributable to common equity holders of the Parent Company:		
Continuing operations	₱10,103,519	₱7,262,644
Discontinued operations	(923)	(506)
Dividends on preferred shares*	(1,219,874)	(885,076)
Net income attributable to common shareholders for basic and diluted earnings per share	₱8,882,722	₱6,377,062
Weighted average number of common shares for basic earnings per share	2,595,228	2,882,368
Dilutive common shares arising from stock options	–	–
Adjusted weighted average number of common stocks for diluted earnings per share	2,595,228	2,882,368
EPS before discontinued operations		
Basic earnings per share	₱3.43	₱2.21
Diluted earnings per share	₱3.43	₱2.21
EPS		
Basic earnings per share	₱3.43	₱2.21
Diluted earnings per share	₱3.43	₱2.21

*Including participating preferred shares' participation in earnings

15. Segment Information

Business segment information is reported on the basis that is used internally for evaluating segment performance and deciding how to allocate resources among operating segments. Accordingly, the segment information is reported based on the nature of service the Group is providing and its geographic location.

The segments where the Group operates follow:

- Manila Concession and Head Office – represents the operations of the Manila Concession (East Zone) of the Parent Company in accordance with its Concession Agreement.

- Domestic Subsidiaries – represents the financial results of the Philippine businesses such as MWTS, Calasiao Water, MWPVI (including Boracay Water, Calbayog Water, Clark Water, Filipinas Water, Bulakan Water, Ilagan Water, South Luzon Water, Obando Water, Laguna Water, North Luzon Water, Davao Water, Tagum Water, MW Consortium, Cebu Water, Aqua Centro, BMDC, EcoWater, Leyte Water, MWTv, and Zamboanga Water).
- Foreign Subsidiaries – consists of businesses outside the Philippines under MWAP (KDWH, MWSAH, TDWH, MWTC, MSEA, and PTMWI).

Details of the Group's operating segments as of and for the nine months ended September 30, 2024 and 2023 are as follows:

September 30, 2024					
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation adjustments	Consolidated
(in Thousands)					
Revenue					
Sales to external customers	₱21,774,720	₱7,470,249	₱3,384	(₱1,839,270)	₱27,409,083
Finance income from contract assets	–	137,983	–	–	137,983
Costs and expenses (excluding depreciation and amortization)	6,091,672	4,245,541	56,636	(1,644,463)	8,749,386
Depreciation and amortization	3,038,254	720,631	958	(27,077)	3,732,766
Equity share in net income of associates	–	–	293,909	–	293,909
Other income (expenses) - net	(533,970)	(471,283)	3,569	(649,395)	(1,651,079)
Income (loss) before income tax	12,110,824	2,170,777	243,268	(817,125)	13,707,744
Provision for income tax	2,785,490	415,151	506	16,207	3,217,354
Net income (loss) from continuing operations	9,325,334	1,755,626	242,762	(833,332)	10,490,390
Net loss from discontinued operations	–	(1,319)	–	–	(1,319)
Net income (loss)	₱9,325,334	₱1,754,307	₱242,762	(₱833,332)	₱10,489,071
Other information					
Segment assets excluding investment in associates	₱186,715,025	₱45,888,061	₱14,852,941	(₱35,392,208)	₱212,063,819
Investment in associates	–	–	10,761,891	771,784	11,533,675
	₱186,715,025	₱45,888,061	₱25,614,832	(₱34,620,424)	₱223,597,494
Segment liabilities	₱113,004,376	₱29,384,270	₱12,935,986	(₱9,320,502)	146,004,130

September 30, 2023					
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation adjustments	Consolidated
(in Thousands)					
Revenue					
Sales to external customers	₱18,143,979	₱5,281,410	₱4,214	(₱499,039)	₱22,930,564
Finance income from contract assets	–	213,636	–	–	213,636
Costs and expenses (excluding depreciation and amortization)	5,739,061	3,038,131	87,197	(474,641)	8,389,748
Depreciation and amortization	2,628,339	574,112	1,159	(2,194)	3,201,416
Equity share in net income of associates	–	–	408,948	–	408,948
Other income (expenses) - net	(1,404,409)	(658,305)	16,710	(213,131)	(2,259,135)
Income (loss) before income tax	8,372,170	1,224,498	341,516	(235,335)	9,702,849
Provision for income tax	1,934,053	319,706	287	(75,827)	2,178,219
Net income (loss) from continuing operations	6,438,117	904,792	341,229	(159,508)	7,524,630
Net loss from discontinued operations	–	(656)	–	(68)	(724)
Net income (loss)	₱6,438,117	₱904,136	₱341,229	(₱159,576)	₱7,523,906

September 30, 2023

	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation adjustments	Consolidated
Other information					
Segment assets excluding investment in associates and derivative assets	₱164,242,959	₱41,136,009	₱7,093,016	(₱23,818,575)	₱188,653,409
Investment in associates	—	—	13,920,180	1,321,385	15,241,565
Derivative assets	450,452	—	—	—	450,452
	₱164,693,411	₱41,136,009	₱21,013,196	(₱22,497,190)	₱204,345,426
Segment liabilities	₱93,785,682	₱27,188,753	₱8,267,375	(₱2,661,465)	₱126,580,345

Disaggregated revenue information

The following are the disaggregation of the Group's revenue from contracts with customers:

September 30, 2024				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
(in Thousands)				
Revenue from contracts with customers:				
Water and used water revenues	₱21,498,440	₱4,547,466	₱—	₱26,045,906
Other operating revenues	240,530	1,119,189	3,458	1,363,177
	₱21,738,970	₱5,666,655	₱3,458	₱27,409,083
Timing of revenue recognition:				
Revenue recognized over time	₱21,646,939	₱4,911,258	₱3,458	₱26,561,655
Revenue recognized at a point in time	92,031	755,397	—	847,428
	₱21,738,970	₱5,666,655	₱3,458	₱27,409,083

September 30, 2023				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
(in Thousands)				
Revenue from contracts with customers:				
Water and used water revenues	₱17,393,963	₱3,917,410	₱—	₱21,311,373
Other operating revenues	790,250	823,868	5,073	1,619,191
	₱18,184,213	₱4,741,278	₱5,073	₱22,930,564
Timing of revenue recognition:				
Revenue recognized over time	₱18,028,707	₱4,433,882	₱5,073	₱22,467,662
Revenue recognized at a point in time	155,506	307,396	—	462,902
	₱18,184,213	₱4,741,278	₱5,073	₱22,930,564

16. Related Party Transactions

Parties are considered to be related to the Group if it has the ability, directly or indirectly, to control the Group or exercise significant influence over the Group in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control or common significant influence. Related parties may be individuals (being members of key management personnel and/or their close family members) or other entities and include entities which are under the significant influence of related parties of the Group where those parties are individuals, and post-employment benefit plans which are for the benefit of employees of the Group or of any entity that is a related party of the Group.

In the normal course of business, the Group has transactions with related parties. The sales and investments made to related parties are made at normal market prices. Service agreements are based on rates agreed upon by the parties. Outstanding balances at year-end are unsecured, due for cash settlement or collection, and interest-free except for balances related to cash in banks and cash equivalents and long-term debt. There have been no guarantees provided for nor received on any related party receivables or payables. This assessment is undertaken each financial year by examining the financial position of the related party and the market in which the related party operates.

Significant transactions with related parties follow:

- a. The Parent Company entered into a Consultancy Agreement with Prime Infrastructure Capital Holdings, Inc. (PICl), an affiliate of Trident Water effective June 3, 2021. Under the agreement, PICl shall provide strategic advice and assistance, for which the Parent Company and its subsidiaries shall pay PICl an amount equal to 2.70% of the net revenues of the Group for the calendar quarter from October 1, 2021 onwards. Total management and professional fees charged to operations arising from these agreements amounted to ₱900.68 million and ₱735.12 million in September 30, 2024 and 2023, respectively.
- b. On May 17, 2024, Trident, MWC's major shareholder, executed with AC and its wholly-owned subsidiary, Michigan, the underlying agreements for the special block sales covering AC's and Michigan's 577,997,467 MWC common shares. Trident and Philwater, a wholly-owned subsidiary of AC, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares. The gross consideration for these transactions among Trident and AC, Michigan, and Philwater (collectively, "Ayala"), amounted to ₱14.5 billion. As of September 30, 2024, Ayala no longer held common shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the tables below.
- c. The following tables provide the total amount of all other transactions that have been entered into with the Parent Company's shareholders and affiliates for the relevant financial period:

(in thousands)	Cash in Banks, Cash Equivalents and Short-term Investments (Note 6)		Receivables and Contract Assets* (Note 7)	
	September 30, 2024	December 31, 2023	September 30, 2024	December 31, 2023
Shareholder:				
Ayala*	₱—	₱—	₱—	₱203
Affiliates:				
Trident Inc	—	—	5,330,000	5,330,000
Wawa JVCo, Inc.	—	—	182,054	113,018
Sureste Properties Inc.	—	—	95,267	32,450
Prime Metro BMD	—	—	18,037	—
ALI and subsidiaries*	—	—	—	263,249
Globe and subsidiaries*	—	—	—	141
BPI and subsidiaries*	—	1,737,371	—	143
	—	1,737,371	5,625,358	5,739,001
	₱—	₱1,737,371	₱5,625,358	₱5,739,204

*Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

Cash in banks and cash equivalents pertain to deposits and investments with original maturities of three (3) months or less from the date of original acquisition.

Trade receivables are primarily composed of receivables for water and used water services rendered by the Group. These are non-interest bearing and are collectible within thirty (30) days from bill generation.

(in thousands)	Payables and Contract Liabilities**		Long-term Debt	
	September 30, 2024	December 31, 2023	September 30, 2024	December 31, 2023
Shareholder:				
PICl	₱284,744	₱227,871	₱—	₱—
Affiliates:				
Wawa JVCo, Inc.	6,561,647	6,644,269	—	—
Prime Metro BMD	243,188	336,921	—	—
ALI and subsidiaries*	—	160,577	—	—
BPI and subsidiaries*	—	16,766	—	4,422,703
Globe and subsidiaries*	—	13,202	—	—
HCX Technology Partners, Inc*.	—	1,678	—	—
Bestfull Holdings, Inc. and subsidiaries*	—	352	—	—
Sureste Properties Inc	12	237	—	—
	6,804,847	7,174,002	—	4,422,703
	₱7,089,591	₱7,401,873	₱—	₱4,422,703

*Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

**Includes trade, retention and interest payables

Trade payables pertain to retentions deducted from contractors' billings and are normally paid within a year after project acceptance.

Long-term debt pertains to loans made by Boracay Water, Laguna Water, Clark Water, Aqua Centro, South Luzon, Bulakan Water and Calbayog Water with BPI (see Note 15).

The table below shows the total amount of revenues and purchases between Parent Company's shareholders and affiliates for the relevant financial period.

	Revenues		Purchases	
	September 30, 2024	September 30, 2023	September 30, 2024	September 30, 2023
Shareholders:				
PICI	P—	P—	P900,679	P735,122
Ayala*	—	607	-	-
	—	607	900,679	735,122
Affiliates:				
WawaJVCo, Inc.	224,142	—	553,844	553,201
Prime Metro BMD	16,105	—	584,242	309,746
Sureste Properties, Inc.	10,761	69,846	1,088	710
ALI and subsidiaries*	—	615,870	—	64,488
IMI and subsidiaries*	—	50,923	—	—
BPI and subsidiaries*	—	36,189	—	65,686
AITHI and subsidiaries*	—	5,622	—	—
Globe and subsidiaries*	—	466	—	56,116
HCX Technology Partners, Inc.*	—	—	—	31,207
Bestfull Holdings, Inc. and subsidiaries*	—	—	—	252
	251,008	778,916	1,139,174	1,081,406
	P251,008	P779,523	P2,039,853	P1,816,528

*Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

Revenue is mainly attributable to water and used water services and facilities, and supervision fees rendered by the Group to its shareholder and affiliates.

Purchases from related parties arise from the following transactions:

- PICI for management fees;
- ALI and subsidiaries, and Bestfull Holdings and subsidiaries for rental of office space;
- BPI for banking transactions and financial services such as insurance;
- Sureste Properties, Inc. for representation expense;
- Globe for telecommunication services;
- HCX Technology Partners, Inc. for payroll management services; and
- Prime Metro BMD for construction services;
- Wawa JVCo, Inc. for the supply of raw water.

- d. On January 15, 2016, MWPVI entered into a MOA with ALI and its subsidiaries and affiliates (the ALI Group) whereby MWPVI shall exclusively provide water and used water services and facilities to all ALI Group property development projects in the Philippines. Revenues earned by MWPVI from the agreement, included under "Supervision fees", amounted to nil and P155.28 million in September 30, 2024 and 2023, respectively. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented as of September 30, 2024.
- e. On April 17, 2024, MWPVI entered into a share purchase agreement with Equi-Parco Holdings Corporation, Metropac Water Investments Corporation, and TwinPeak Hydro Resources Corporation for the sale and purchase of their 30%, 30% and 10% interest, respectively, in EHI, equivalent to a total of 315,015,625 shares. The purchase price is P3.65 per share resulting in a total purchase price of P1,150 million. MWPVI's non-controlling interest in EHI as of the acquisition date is 30%.

17. Financial Assets and Financial Liabilities

The Group's financial assets, other than cash and short-term investments, and financial liabilities, as of September 30, 2024 and December 31, 2023 consist of:

	September 30, 2024	December 31, 2023
	(in Thousands)	
Financial assets at amortized cost		
Receivables	₱3,824,969	₱2,904,920
Contract assets	1,727,346	1,718,657
	₱5,552,315	₱4,623,577
Financial assets at fair value		
Derivative asset	₱—	₱391,838
Total current	₱4,278,651	₱3,454,792
Total noncurrent	₱1,273,664	₱1,560,623
Financial liabilities at amortized cost		
Accounts and other payables	₱19,253,661	₱18,761,073
Short-term debt	8,207,205	135,000
Long-term debt	94,853,739	99,247,451
Service concession obligations	15,238,490	16,124,821
Customers' guaranty deposits and other deposits	402,525	342,630
	₱137,955,620	₱134,610,975
Total current	₱36,546,603	₱36,778,207
Total noncurrent	₱101,409,017	₱97,832,768

18. Fair Value Measurement

The carrying amounts approximate fair values for the Group's financial assets and liabilities due to their short-term maturities except for the following financial assets and liabilities as of September 30, 2024 and December 31, 2023:

	September 30, 2024			
	Carrying Value	Fair Value Quoted Market Prices (Level 1)	Fair Value Significant Observable Inputs (Level 2)	Fair Value Significant Unobservable Inputs (Level 3)
	(In Thousands)			
Financial assets at amortized cost				
Contract assets from TWD, and CIWD	₱1,381,801	₱—	₱—	₱3,880,503
	₱1,381,801	₱—	₱—	₱3,880,503
Other financial liabilities				
Long-term debt	₱94,853,739	₱27,995,649	₱—	₱70,125,147
Service concession obligations	15,238,490	—	—	15,069,528
Customers' guaranty deposits and other deposits	402,525	—	—	157,431
	₱110,494,754	₱27,995,649	₱—	₱85,352,106

December 31, 2023				
	Carrying Value	Fair Value Quoted Market Prices (Level 1)	Fair Value Significant Observable Inputs (Level 2)	Fair Value Significant Unobservable Inputs (Level 3)
(In Thousands)				
Financial assets at fair value				
Derivative assets	₱391,838	₱–	₱–	₱391,838
Financial assets at amortized cost				
Contract assets from TWD, and CIWD	₱1,281,478	₱–	₱–	₱3,660,202
	₱1,673,316	₱–	₱–	₱4,052,040
Other financial liabilities				
Long-term debt	₱99,247,451	₱25,492,902	₱–	₱74,183,461
Service concession obligations	16,124,821	–	–	17,399,130
Customers' guaranty deposits and other deposits	342,630	–	–	118,520
	₱115,714,902	₱25,492,902	₱–	₱91,701,111

The methods and assumptions used by the Group in estimating the fair value of the long-term financial assets at amortized cost and other financial liabilities such as long-term debt, service concession obligations, and customers' guaranty deposits and other deposits are as follows:

- The fair values of derivative assets, specifically forward contracts, are calculated using valuation techniques with inputs and assumptions that are based on market unobservable data and conditions. The fair values of the US dollar-denominated bonds are based on quoted prices. The fair values of financial assets at amortized cost, and other financial liabilities are estimated using the discounted cash flow methodology using the Group's current incremental borrowing rates for similar borrowings with maturities consistent with those remaining for the liability being valued.
- The discount rates used for PHP-denominated loans were 0.5% to 8.00% in 2024 and 2023, while the discount rates used for foreign currency-denominated loans ranged from 7.00% to 9.25% in 2024 and 2023.

The Group enters into derivative financial instruments with various counterparties, principally financial institutions with investment grade credit ratings. Foreign exchange forward contracts are valued using valuation techniques, which employ the use of market observable inputs. The most frequently applied valuation techniques include forward pricing and swap models using present value calculations. The models incorporate various inputs including the foreign exchange spot and forward rates, yield curves of the respective currencies and currency basis spreads between the respective currencies. As at September 30, 2024 and December 31, 2023, the mark-to-market value of other derivative asset positions is net of a credit valuation adjustment attributable to derivative counterparty default risk. The changes in counterparty credit risk had no material effect on the hedge effectiveness assessment for derivatives designated in hedge relationships and other financial instruments recognized at fair value.

Fair Value Hierarchy

During the periods ended September 30, 2024 and December 31, 2023, there were no transfers between Level 1 and Level 2 fair value measurements and no transfers into and out of Level 3 fair value measurement.

19. Financial Risk Management Objectives and Policies

The Group's principal financial instruments comprise of cash and cash equivalents, short-term investments, contract assets from TWD and CIWD, derivative assets, short-term debt, long-term debt, and service concession obligations. The main purpose of the Group's financial instruments is to fund its operations and capital expenditures. The main risks arising from the use of financial instruments are interest rate risk, foreign exchange risk, credit risk and liquidity risk. The Group has other financial assets such as trade receivables and payables which arise directly from the conduct of its operations.

The Parent Company's BOD reviews and approves the policies for managing each of these risks. The Group monitors risks arising from all financial instruments and regularly report financial management activities and the results of these activities to the Parent Company's BOD. In addition, the Group ensures that all loan covenants are complied with.

The Group's risk management policies are disclosed in full in its audited consolidated financial statements as of December 31, 2023 and updates to these risks are summarized below:

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to interest rate risk relates primarily to its financial instruments with floating and/or fixed rates. Fixed rate financial instruments are subject to fair value interest rate risk while floating rate financial instruments are subject to cash flow interest rate risk.

The Group's policy is to manage the interest payments using a mix of fixed and variable rate debts to minimize the Group's exposure to changes in interest rates primarily from its long-term debt. As of September 30, 2024 and December 31, 2023, the Group's mix of fixed interest and floating interest rate of long-term debt are 48% to 52%.

As of September 30, 2024 and December 31, 2023 the fixed interest rate of the Group's foreign currency denominated long-term debt is 4.375% and 5.16% to 7.30% for Peso denominated long-term debt. Floating interest rates are based on 6-month EURIBOR plus margin, SOFR plus margin, PHP BVAL Reference Rates and BSP Term facility rate plus margin as of September 30, 2024 and December 31, 2023.

Foreign exchange risk

The Group's foreign exchange risk results primarily from movements of the PHP against the USD, JPY and EUR on its short-term, long-term debt and service concession obligations. Substantially all revenues are generated in PHP while majority of capital expenditures are also in PHP. Approximately 40% and 45% of debt, including bonds payable, as of September 30, 2024 and December 31, 2023, are denominated in foreign currency.

The BOD approved the Foreign Exchange Risk Policy to help the Parent Company properly address or mitigate the adverse effects of foreign exchange volatility to its profit and loss through the employment of various risk mitigation strategies which include several derivative structures. As an enhancement on the foreign exchange risk management strategy approved by the BOD on February 24, 2022, the Parent Company shall maximize the use of available accounting hedges and shall take into account the capitalization of foreign exchange losses pertaining to capitalizable foreign currency-denominated loans as and when possible to minimize the adverse effect of foreign exchange volatility to profit and loss while managing overall cost that includes hedging costs.

The Group manages its foreign currency risk by hedging transactions that are expected to occur upon maturity of the hedged long-term debts. When a derivative is entered into for the purpose of being a hedge, the Group negotiates the terms of the derivative to match the terms of the hedged exposure.

The Group hedges its exposure to fluctuations on the translation from USD to PHP of its investment in a foreign subsidiary by holding net borrowings in a foreign currency.

On May 24, 2024, the Group unwound the derivative asset designated to its USD100 million USD denominated bond. The unwinding resulted to derecognition of derivative asset amounting to ₱694.76 million and derecognition of OCI amounting to ₱64.92 million. The current year profit and loss impact amounted to ₱321.74 million net gain.

On August 10, 2023, the Group unwound the derivative asset related to its EUR120 million Euro-loan principal only swap. The unwinding resulted to derecognition of derivative asset amounting to ₱1,263.52 million and derecognition of OCI amounting to ₱1,557.28 million. The 2023 profit or loss impact amounted to ₱38.44 million net loss.

Information on the Group's foreign currency-denominated monetary assets and liabilities and their Philippine Peso equivalents are as follows:

	September 30, 2024		December 31 2023	
	Original Currency	Peso Equivalent	Original Currency	Peso Equivalent
	(In Thousands)		(In Thousands)	
Assets				
Cash and cash equivalents:				
USD	USD6,357	₱356,208	USD4,079	₱225,855
THB	THB1,303,051	2,249,484	THB1,635,467	2,633,386
VND	VND22,712,433	51,798	VND21,440,330	48,916
SGD	SGD2	69	SGD—	—
IDR	IDR956,787	3,540	IDR1,524,085	5,466
Accounts receivable:				
USD	USD3,126	175,175	USD3,171	175,599
VND	VND9,885,712	22,545	VND—	—
IDR	IDR26,897	100	IDR995,924	3,572
SAR	SAR4,346	64,764	SAR4,127	61,155
SGD	SGD4	189	—	—
THB	THB150	258	THB261	420
Other current assets:				
THB	THB14,665	25,317	THB25,985	41,841
IDR	IDR998	4	IDR—	—
GBP	GBP5	391	GBP4	302
SGD	SGD18	802	SGD4	184
USD	USD631	35,380	USD36	1,990
Other noncurrent assets:				
USD	USD106,928	5,991,170	USD137	7,561
IDR	IDR10,836,508	40,093	IDR10,842,640	38,886
VND	VND1,656	4	VND—	—
SAR	SAR—	—	SAR250	3,705
THB	THB—	—	THB5,291,971	8,520,991
SGD	SGD20	873	SGD30	1,263
		9,018,164		11,771,092
Liabilities				
Accounts payable:				
THB	THB1,351	2,332	THB5,356,790	8,625,362
USD	USD3,244	181,757	USD3,166	175,300
VND	VND121,442	277	VND75,801	173
SGD	SGD11	487	SGD76	3,219
IDR	IDR12,807,644	47,386	IDR12,897,157	46,254
MXN	MXN1	2	MXN—	—
Long-term debt:				
USD	USD817,318	45,794,302	USD3,166	32,961,689
EUR	EUR26,238	1,636,760	EUR57,257	3,519,836
THB	THB—	—	—	—
CAD	CAD873	36,111	CAD873	36,669
Service concession obligations:				
USD	USD79,975	4,480,999	USD177,865	9,848,397
JP¥	JP¥74,535	29,285	JP¥141,270	55,519
		52,209,698		55,272,418
Net foreign currency-denominated liabilities		(₱43,191,534)		(₱43,501,326)

The closing exchange rates used were ₱56.0300 to US\$1, ₱41.3647 to CAD1, ₱62.3811 to EUR1, ₱74.7556 to GBP1, ₱0.0037 to IDR1, ₱0.3929 to JP¥1, ₱0.0268 to MMK1, ₱14.9006 to SAR1, ₱43.6418 to SGD1, ₱1.7263 to THB1, 0.0023 to VND1 and ₱0.2015 to PKR1 in 2024; and ₱55.3700 to US\$1, ₱42.0039 to CAD1, ₱61.4378 to EUR1, ₱70.7590 to GBP1, ₱0.0036 to IDR1, ₱0.3930 to JP¥1, ₱0.0264 to MMK1, ₱14.8187 to SAR1, ₱42.0898 to SGD1, ₱1.6102 to THB1, 0.0023 to VND1 and ₱0.1970 to PKR1 in 2023.

On May 10, 2023, the seventh Amendment of the RCA included FCDA that will be based on the following: (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex gains or losses arising from principal payments of loans, limited to the list of loans provided in the RCA. Forex gains or losses on additional/new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA. As of September 30, 2024 and December 31, 2023, deferred FCDA of the Parent Company amounted to ₱3,382.83 million and ₱2,510.95 million, respectively.

- **Cash flow hedges for foreign currency risks**

The Parent Company designated foreign currency forward contracts as hedges of exposure to foreign exchange currency risk on its seven (7)-year term loan from Bank of China Hong Kong and Manila Branches denominated in EUR.

The terms of the foreign currency forward contracts have been negotiated to match the terms of the EUR leg of the principal only swap. Both parties to the contract have fully cash-collateralized the foreign currency forward contracts, and, therefore, effectively eliminated any credit risk associated with the contracts (both the Hedge Counterparty's and the Group's own credit risk).

The Parent Company designated a USD/PHP non-deliverable deferred premium currency option transaction as hedging instrument for the USD100 Mn denominated bond. The bond will be hedged against unfavourable movements of USD/PHP to minimize potential friction cost from unwinding the hedge in case Parent Company wishes to exercise the pretermination right on the first call date.

As of September 30, 2024 and December 31, 2023, an unrealized gain of nil and ₱37.77 million relating to the derivatives are included in other comprehensive income.

- *Hedge of net investments in foreign operations*

Included in loans as of September 30, 2024 and December 31, 2023 was a borrowing of USD100.00 million, which is designated as a hedge of the net investment in MWAP, the Parent Company's wholly-owned foreign holding company, with USD as its functional currency. As of September 30, 2024 and December 31, 2023 losses of ₱64.83 million and ₱37.77 million on the translation of this borrowing were transferred to OCI to offset the gains on translation of the investment in MWAP. There is no ineffectiveness for the periods ended September 30, 2024 and December 31, 2023. There is an economic relationship between the hedged item and the hedging instrument as the net investment creates a translation risk that will match the foreign exchange risk on the USD borrowing. The Group has established a hedge ratio of 1:1 as the underlying risk of the hedging instrument is identical to the hedged risk component. The hedge ineffectiveness will arise when the amount of the investment in the foreign subsidiary becomes lower than the amount of the fixed rate borrowing.

The hedge effectiveness can be assessed by considering the economic relationship, effect of credit risk and hedge ratio.

The maturity profile of the hedging instruments as of September 30, 2024 follows:

	Within 1 year	1 to 5 years	More than 5 years	Total
USD100 Mn Bonds - Net				
Investment Hedge	–	–	\$100,000,000	\$100,000,000
Hedge rate	–	–	₱49.76	–

The impact of the hedging instruments and hedged items on the statement of financial position follows:

September 30, 2024				
	Notional amount	Carrying amount	Line item in the statement of financial position	Change in fair value*
USD100 Mn Bonds - Net Investment Hedge	\$100,000,000	–	–	(₱48,623,099)

*net of income tax effect

December 31, 2023				
	Notional amount	Carrying amount	Line item in the statement of financial position	Change in fair value*
USD100 Mn Bonds - Currency Option Transaction	\$100,000,000	₱391,839,337	Other noncurrent assets	₱181,510,327
USD100 Mn Bonds - Net Investment Hedge	\$100,000,000	–	–	(28,325,764)
		₱391,839,337		₱153,184,563

*net of income tax effect

The impact of the hedging instruments on the statement of financial position follows:

September 30, 2024				
	Notional amount	Change in fair value *	Cash flow hedge reserve*	Cost of hedging reserve*
USD100 Mn Bonds - Net Investment Hedge	\$100,000,000	(₱48,623,099)	–	–

*net of income tax effect

December 31, 2023				
	Notional amount	Change in fair value *	Cash flow hedge reserve*	Cost of hedging reserve*
USD100 Mn Bonds – Currency Option Transaction	\$100,000,000	₱181,510,327	₱406,413,386	(₱224,903,059)
USD100 Mn Bonds - Net Investment Hedge	\$100,000,000	(28,325,764)	–	–
		₱153,184,563	₱406,413,386	(₱224,903,059)

*net of income tax effect

The effect of the cash flow hedge in the statement of profit and loss and OCI follows:

September 30, 2024					
	Total hedging loss recognized in OCI*	Ineffectiveness recognized in profit or loss	Line item in profit or loss	Amount reclassified from OCI to profit or loss	Line item in profit or loss
USD100 Mn Bonds - Net Investment Hedge	(₱48,623,099)	–	–	(₱64,830,798)	Foreign exchange losses

*net of income tax effect

December 31, 2023					
	Total hedging gain (loss) recognized in OCI*	Ineffectiveness recognized in profit or loss	Line item in profit or loss	Amount reclassified from OCI to profit or loss	Line item in profit or loss
USD100 Mn Bonds – Currency Option Transaction	₱181,510,327	₱1,669,979	Interest expense	(₱37,767,685)	Foreign exchange gains (losses)
USD100 Mn Bonds - Net Investment Hedge	(28,325,764)	–	–	(₱37,767,685)	Foreign exchange gains (losses)
	₱153,184,563	₱1,669,979		(₱75,535,370)	

*net of income tax effect

Credit risk

The information about the credit risk exposure on the Group's receivables and contract assets using a provision matrix follows:

	September 30, 2024						
	Current	Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
	(In Thousands)						
Receivables							
Customers	₱1,032,291	₱879,150	₱371,012	₱212,550	₱898,962	₱1,481,371	₱4,875,336
Employees	42,277	–	–	–	–	5	42,282
Interest from banks	24,523	–	–	–	–	–	24,523
Others	364,204	–	–	–	–	141,085	505,289
	1,463,295	879,150	371,012	212,550	898,962	1,622,461	5,447,430
Contract assets	1,727,346	–	–	–	–	316,323	2,043,669
	₱3,190,641	₱879,150	₱371,012	₱212,550	₱898,962	₱1,938,784	₱7,491,099

	December 31, 2023						
	Current	Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
	(In Thousands)						
Receivables							
Customer	₱724,735	₱766,073	₱355,830	₱171,000	₱648,122	₱1,301,193	₱3,966,953
Employees	17,145	—	—	—	—	5	17,150
Interest from banks	13,142	—	—	—	—	—	13,142
Others	208,873	—	—	—	—	220,681	429,554
	963,895	766,073	355,830	171,000	648,122	1,521,879	4,426,799
Contract assets	1,718,657	—	—	—	—	312,876	2,031,533
	₱2,682,552	₱766,073	₱355,830	₱171,000	₱648,122	₱1,834,755	₱6,458,332

Liquidity risk

The Group's financial assets used for liquidity management based on their maturities are as follows:

September 30, 2024				
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
	(in Thousands)			
Assets:				
Cash and cash equivalents	₱8,546,480	₱—	₱—	₱8,546,480
Receivables:				
Customers	4,875,337	—	—	4,875,337
Employees	42,282	—	—	42,282
Interest from banks	24,523	—	—	24,523
ZCWD	39,510	—	—	39,510
Associate and others	465,778	—	—	465,778
Contract assets from TWD, and CIWD	118,293	956,763	1,164,037	2,239,093
	₱14,112,203	₱956,763	₱1,164,037	₱16,233,003

*Undiscounted cash flows

December 31, 2023				
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
	(in Thousands)			
Assets:				
Cash and cash equivalents	₱10,752,734	₱—	₱—	₱10,752,734
Receivables:				
Customers	3,966,953	—	—	3,966,953
Employees	17,150	—	—	17,150
Interest from banks	13,142	—	—	13,142
ZCWD	39,510	—	—	39,510
Associate and others	390,045	—	—	390,045
Contract assets from TWD, and CIWD	126,375	873,936	1,332,611	2,332,922
	₱15,305,909	₱873,936	₱1,332,611	₱17,512,456

*Undiscounted cash flows

The Group's financial liabilities based on contractual undiscounted payments:

September 30, 2024				
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
	(in Thousands)			
Liabilities:				
Accounts and other payables	₱19,253,663	₱—	₱—	₱19,253,663
Short-term debt	8,207,205	—	—	8,207,205
Long-term debt*	12,778,010	53,356,227	52,471,485	118,605,722
Service concession obligation*	1,645,515	8,948,435	13,339,742	23,933,692
Lease liabilities*	110,546	254,910	135,985	501,441
Other noncurrent liabilities	—	—	1,127,244	1,127,244
	₱41,994,939	₱62,559,572	₱67,074,456	₱171,628,967

*Includes contractual interest cash flows

December 31, 2023				
	Within 1 year	1 to 5 years	More than 5 years	Total - Gross
	(in Thousands)			
Liabilities:				
Accounts and other payables	₱18,761,073	₱—	₱—	₱18,761,073
Short-term debt	135,000	—	—	135,000
Long-term debt*	19,419,949	46,485,336	50,395,343	116,300,628
Service concession obligation*	2,193,938	8,465,985	23,946,046	34,605,969
Lease liabilities*	115,587	205,247	153,396	474,230
Other noncurrent liabilities	—	264,719	1,209,223	1,473,942
	₱40,625,547	₱55,421,287	₱75,704,008	₱171,750,842

*Includes contractual interest cash flows

Capital management

As of September 30, 2024 and December 31, 2023, the entities within the Group are compliant with their respective financial loan covenants.

MANAGEMENT'S DISCUSSION & ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following management's discussion and analysis (MD&A) of Manila Water Company, Inc. and subsidiaries' (Group) financial condition and results of operations should be read in conjunction with the Group's audited financial statements, including related notes. This report may contain forward-looking statements that involve risks and uncertainties. The actual results may differ materially from those discussed in the forward-looking statements as a result of various factors, including but not limited to, economic, regulatory, socio-political, financial, and other risk factors.

Any references in this MD&A to "our", "us", "we", "MWCI" or the "Group" shall refer to Manila Water Company, Inc., including its subsidiaries. Any reference to "Manila Water Company", "Manila Water", "MWC" or the "Company" shall refer to the Parent Company only.

Additional information about the Group, including recent disclosures of material events and annual/ quarterly reports, are available at our corporate website at <https://www.manilawater.com>.

OVERVIEW OF THE BUSINESS

Manila Water Company holds the right to provide water and used water services to the eastern side of Metro Manila ("Manila Concession" or "East Zone") under a Concession Agreement (CA) entered into between the Company and the Metropolitan Waterworks and Sewerage System (MWSS) in August 1997. The original term of the concession was for a period of 25 years to expire in 2022. The Company's concession was extended by another 15 years by MWSS and the Philippine Government in 2009, thereby extending the term from May 2022 to May 2037.

On November 9, 2023, after due notice to the public, the MWSS-RO conducted a public hearing for the extension of the expiration date of the RCA. This is in view of Company's application to extend the term of the RCA for another 10 years or until 2047 to align with the term of its Franchise.

The Company provides water treatment, water distribution, sewerage and sanitation services to more than seven million people in the East Zone, comprising a broad range of residential, semi-business, commercial and industrial customers. The East Zone encompasses (24) cities and municipalities spanning a 1,400-square kilometer area that include Makati, Mandaluyong, Pasig, Pateros, San Juan, Taguig, Marikina, most parts of Quezon City, portions of Manila, Parañaque, as well as the following towns of Rizal: Angono, Antipolo, Baras, Binangonan, Cainta, Cardona, Jala-Jala, Morong, Pililia, Rodriguez, San Mateo, Tanay, Taytay, and Teresa.

Under the terms of the CA, the Company has the right to the use of land and operational fixed assets, and the right, as agent and concessionaire of MWSS, to extract and treat raw water, distribute, and sell water, and collect, transport, treat and dispose used water, including reusable industrial effluent discharged by the sewerage system in the East Zone. The Company is entitled to recover over the concession period its operating, capital maintenance and investment expenditures, business taxes, and concession fee payments, and to earn a rate of return on these expenditures for the remaining term of the concession.

On March 31, 2021, MWSS and the Company entered into a Revised CA (RCA) which has a term of up to July 31, 2037. The RCA shall become effective within six (6) months from March 31, 2021 and upon satisfaction of the conditions precedent.

The Company and MWSS has since executed six (6) amendments to the RCA extending its Effective Date to allow time to complete the remaining condition precedent which is the Undertaking Letter from the Republic. The Sixth Amendment was executed on May 19, 2022 extending the Effective Date to not later than June 30, 2022.

On June 30, 2022, the RCA did not take effect due to the Republic's failure to submit the prescribed Undertaking Letter. Any changes adopted by the Company in relation to the RCA were reverted to the terms provided in the Original CA, except as provided under the franchise discussed below.

On May 10, 2023, the Company and MWSS executed a seventh Amendment to the RCA (the "Amendment"). The parties agreed that the RCA and the seventh Amendment are deemed to be effective as of June 29, 2022. The Republic also issued a new Undertaking Letter effective as of July 1, 2022, superseding the Undertaking Letter dated June 24, 2022.

On December 10, 2021, the franchise of Manila Water (Republic Act (RA. No.) 11601) was signed into law and became effective on January 25, 2022. Said law grants Manila Water the franchise to establish, operate and maintain a waterworks and sewerage system in the East Zone Service Area of Metro Manila and the Province of Rizal for a period of twenty-five (25) years and confirms the status of Manila Water as a public utility. Section 5 of RA No. 11601 provides that the Concession Agreement shall serve as the certificate of public convenience and necessity, license or permit of Manila Water for the operation of its waterworks and sewerage system. Under RA 11601, "Concession Agreement" refers to the agreement between the grantee and MWSS on February 21, 1997, including its amendment dated October 26, 2001, and the Memorandum of Agreement and Confirmation dated October 23, 2009, as amended by the Revised Concession Agreement dated March 31, 2021, or as may thereafter be amended. When public interest for affordable water security requires and upon application by Manila Water,

MWSS is authorized to approve the amendment of the Concession Agreement to extend its term up to the term of the franchise.

On March 2, 2022, the MWSS Board of Trustees (BOT) approved Resolution No. 2022-025-RO, Series 2022 involving the implications of the Legislative Franchises on the value-added tax (VAT) and franchise tax of the Concessionaires specifically:

1. The removal of VAT from the customer bills of Manila Water and Maynilad resulting from the grant of the Legislative Franchises to the Concessionaires, subject to the National Internal Revenue Code of 1997, as amended, and the relevant rules of the Bureau of Internal revenues; and
2. The imposition of Government Taxes in the customers' bills as pass-through costs comprised of a national franchise tax at the rate of 2.00% and actual implemented rates of local franchise tax for each local government unit starting March 21, 2022.

On March 21, 2022, the Company submitted its notice of acceptance of the twenty-five (25)-year legislative franchise to the Committee on Legislative Franchises of the House of Representatives and the Senate Committee on Public Services.

Aside from the Manila Concession, the Group has a holding company for all its domestic operating subsidiaries in Manila Water Philippine Ventures, Inc. (MWPVI). Currently under MWPVI are (1) bulk water supply businesses under Metro Ilagan Water Company, Inc. (Ilagan Water), Manila Water Consortium, Inc. (MW Consortium), with subsidiary - Cebu Manila Water Development, Inc. (Cebu Water), Davao del Norte Water Infrastructure Company, Inc. (Davao Water), with subsidiary - Tagum Water Company, Inc. (Tagum Water); (2) water distribution and used water services businesses namely, Boracay Island Water Company (Boracay Water), Clark Water Corporation (Clark Water), Laguna AAWater Corporation (Laguna Water), Calbayog Water Company, Inc. (Calbayog Water), North Luzon Water Company, Inc. (North Luzon Water), Leyte Water Company, Inc. (Leyte Water) and Filipinas Water Consortium Holdings Corp. (Filipinas Water), subsidiaries of Filipinas Water - Obando Water Company, Inc. (Obando Water), MWPV South Luzon Water Corp. (South Luzon Water), Bulakan Water Company, Inc. (Bulakan Water), and Ilagan Water. Another subsidiary of Manila Water is Calasiao Water Company, Inc. (Calasiao Water), a water supply project for the Calasiao Water District; and (3) business-to-business water and wastewater service businesses comprised of Aqua Centro MWPV Corp. (Aqua Centro), Bulacan MWPV Development Corporation (BMDC), Manila Water Technical Ventures, Inc. (MWTv), and EcoWater MWPV Corp. (EcoWater). Under MWPVI is a division, Estate Water, which operates and manages the water systems of townships developed by Ayala Land, Inc. Beginning 2021, Estate Water provides wastewater services to Ayala Malls. On April 19, 2021, MWPVI and Aqua Centro entered into a Novation Agreement with Adauge Commercial Corporation whereby MWPVI assigns and transfers its rights, duties and obligations under the MOA with ALI Group to Aqua Centro for Atria Development (Iloilo City).

The holding company for Manila Water's international ventures is Manila Water Asia Pacific Pte. Ltd. (MWAP). Under MWAP are two affiliated companies in Vietnam, namely Thu Duc Water B.O.O. Corporation (Thu Duc Water) and Kenh Dong Water Supply Joint Stock Company (Kenh Dong Water), both supplying treated water to Saigon Water Corporation (SAWACO) under a take-or-pay arrangement. Also, under MWAP are Saigon Water Infrastructure Corporation (Saigon Water), a holding company listed in the Ho Chi Minh City Stock Exchange, and Cu Chi Water Supply Sewerage Company, Ltd. (Cu Chi Water).

Apart from its operations in Vietnam, MWAP has associates in Thailand and Indonesia through Eastern Water Resources Development and Management Public Company Limited (East Water), a fully integrated water supply and distribution company listed in the Stock Exchange of Thailand (SET), and PT Sarana Tirta Ungaran (PT STU), an industrial water supply operation in Indonesia, respectively. In the Middle East, Manila Water has two Management, Operation and Maintenance Contracts (MOMC) with the National Water Company (NWC) of the Kingdom of Saudi Arabia for its North West and Eastern Clusters. The MOMC contains the management, operations, and maintenance of the water and wastewater facilities to be undertaken through the consortium of Manila Water with Saur SAS and Miahona Company over a seven-year contract period, which entails the implementation of enabling projects and the deployment of key personnel to manage the cluster and achieve Key Performance Indicators target set by NWC.

Lastly, Manila Water Total Solutions Corp. (MWTs), a wholly-owned subsidiary, handles after-the-meter products and services including pipe-laying, integrated wastewater services, and the incubation of new sector businesses.

CONSOLIDATED FINANCIAL PERFORMANCE

Group net income for the period ended September 30, 2024 increased 39% from the same period last year to ₱10,103 million.

The Group's key financial performance indicators are discussed below:

(in millions)	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Total revenues*	₱27,547	₱23,144	₱4,403	19%
Total cost and expenses (excluding depreciation and amortization)	8,750	8,390	360	4%
Other income - net	353	493	(140)	(28%)
Equity share in net income of associates	294	409	(115)	(28%)
Other income - net	59	84	(25)	(30%)
Earnings before interest, income taxes, depreciation, and amortization (EBITDA)	19,150	15,247	3,903	26%
Depreciation and amortization expense	3,733	3,201	532	17%
Income before interest income and expense and foreign exchange gains and losses	15,417	12,046	3,371	28%
Interest expense – net	2,428	2,590	(162)	(6%)
Foreign exchange gains (losses) - net	280	(4)	284	7100%
Other income	438	251	187	76%
Income before income tax	13,707	9,703	4,004	41%
Provision for income tax	3,217	2,178	1,039	48%
Net income from continuing operations	10,490	7,525	2,965	39%
Net loss after tax from discontinued operations ¹	(1)	(1)	–	–
Net income	10,489	7,524	2,965	39%
Non-controlling interests**	386	262	124	47%
Net income attributable to MWC	₱10,103	₱7,262	₱2,841	39%

*Includes IFRIC 12 finance income amounting to ₱138 Mn and ₱214 Mn for 2024 and 2023, respectively, which were previously presented under Interest expense – net.

**Non-controlling interest is an ownership position whereby a shareholder owns less than 50% of outstanding shares.

Consolidated operating revenues increased 19% to ₱27,547 million in 2024 from ₱23,144 million the same period last year. Said increase was primarily driven by the 20% increase in average tariff and 2% billed volume growth by the Parent Company. This growth was further supported by the 23% increase in Non-East Zone revenues due primarily to the 6% billed volume growth and 20% tariff increases in several business units, higher sewer revenues mainly from Laguna Water and Estate Water and increase in other revenues of certain business units. For the period ended September 30, 2024, the Group derived 76% of its operating revenues from the sale of water, while 19% came from environmental and sewer charges. Other revenues, which account for the balance, include supervision fees, connection fees, after-the-meter services, service income from bulk water arrangements, and finance income from contract assets, among others.

Aside from factors which occur in the normal course of business, Management does not have any knowledge of material trends, events or uncertainties which it deems will have a material impact on revenues.

(in millions)	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Personnel costs	₱2,153	₱1,895	₱258	14%
Direct costs	3,969	4,057	(88)	(2%)
Overhead costs	751	1,027	(276)	(27%)
Premises costs	498	386	112	29%
Other cost and expenses	1,379	1,025	354	35%
Total cost and expenses	₱8,750	₱8,390	₱360	4%

Consolidated cost of services and expenses for the period ended September 30, 2024 increased by 4% to ₱8,750 million from ₱8,390 million in the same period last year, mainly due to higher personnel costs, premises costs and other cost and expenses, partially offset by decrease in direct and overhead costs. On a per cost category, personnel costs increased due to merit increases, higher employee benefits and additional headcount deployed to EZ's new facilities, network enhancements, and NRW initiatives, and higher employee benefits for the period. The increase in premises costs was mainly attributed to higher insurance costs for the Group's additional

¹ For the periods ended September 30, 2024, and 2023, the Group presented as a single amount in its consolidated statement of income the post-tax net loss of its discontinued operations in Zamboanga Water and the Healthy Family division of MWTS.

CAPEX and higher security costs due to increase in rates and security headcount. Moreover, other costs and expenses also increased in 2024 mainly due to CPI adjustment in regulatory costs, higher management fees relative to the Group's revenue and cost increment for the acquisition of LARC business in April 2024. On the other hand, overhead costs decreased mainly due to EZ's lower real property taxes, slightly offset by higher provision for expected credit losses. Further, decrease in direct costs was mainly due to lower MWIS project costs, and EZ's contractual services for the period, offset by higher costs for power, chemicals and repairs and maintenance.

Other income decreased due mainly to the lower share in the net income of associates, particularly from East Water due to the additional cost of raw water purchased in 2024 consequent to the turnover of transmission pipes in 2023, and lower share from Thu Duc and Kenh Dong driven by higher operating expenses.

Consequently, consolidated EBITDA increased by 26% to end at ₱19,150 million in 2024, with an EBITDA margin of 70%. Depreciation and amortization increased by 17% to ₱3,733 million mainly due to the additional completed CAPEX projects.

Net interest expense was lower by 6% from last year at ₱2,428 million, mainly driven by lower hedging costs from EZ due to unwinding of Euro principal-only swap in August 2023 and USD currency option hedge in May 2024. Increase in foreign exchange gains was mainly due to unwinding of USD currency option hedge, FCDA adjustments in EZ and depreciation of peso. Below EBITDA other income increase is due to the higher liquidated damages on EZ's bulk water contract and reversal of SCO. Lastly, provision for income tax increased to ₱3,217 million mainly driven by the Group's higher taxable income and higher deferred tax mainly on depreciation.

BUSINESS UNITS' FINANCIAL AND OPERATING PERFORMANCE

Parent Company – East Zone

Net income of the Parent Company stood at ₱9,325 million for the period, 45% higher than the same period last year. This was driven primarily by the 20% increase in average tariff, as the Parent Company implemented the second tranche of the approved Rate Rebasing adjustment starting January 2024. This was further supported by 2% increase in billed volume due to the continuous consumption recovery across all segments particularly in the commercial and industrial segments.

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)*	396.1	389.0	7.1	2%
Average tariff (in Pesos per cubic meter)**	₱53.4	₱44.5	₱8.9	20%
Number of billed connections***	1,096,992	1,077,534	19,458	2%
Collection efficiency****	97.7%	98.0%	(0.3 ppt)	
Non-revenue water*****	13.2%	13.9%	(0.7 ppt)	
Financial Highlights (in millions)				
Revenues	₱21,775	₱18,144	₱2,426	20%
Cost and expenses (excluding depreciation and amortization)	6,091	5,739	352	6%
EBITDA	15,946	12,489	3,457	28%
Net income	₱9,325	₱6,438	₱2,887	45%

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm)

**Average tariff is water revenue and environmental charges over billed volume

***Billed connections is the number of water service connections in the concession area, which is measured by count

****Collection efficiency is total amount collected over total amount billed for the period; this metric is among the regulatory KPIs being monitored by MWSS

*****Non-revenue water refers to the volume of water lost in the Company's distribution system due to leakage, pilferage, illegal connections, and metering errors. As determined by the MWSS-RO, NRW is calculated as the percentage of water lost against the net volume of water supplied by the Company.

Revenues in 2024 increased by 20% to ₱21,775 million from ₱18,144 million versus the same period last year driven by tariff adjustment and billed volume growth. Cost and expenses for the period increased by 6% to ₱6,091 million. This was mainly driven by 1) increase in personnel costs due merit increase, higher employee benefits and additional headcount deployed to EZ's new facilities, network enhancements and NRW initiatives; 2) increase in direct costs due to higher power consumption and rates, increase in chemical costs due to higher production and new facilities, offset by decrease in contractual services from lower meter reading rates; 3) higher insurance and security costs mainly due to higher rates and additional completed assets and facilities; and 4) higher other costs and expenses due to CPI adjustment in regulatory costs and higher management fees relative to the EZ's revenue. The aforementioned cost increases were partially offset by the lower real property taxes. Meanwhile, amortization and depreciation increased 16% to ₱3,038 million mainly due to newly completed CAPEX projects.

With these movements, EBITDA in 2024 increased by 28% to ₱15,946 million from ₱12,489 million last year. EBITDA margin stood at 73% in 2024.

Non-East Zone (NEZ) – Philippines

The following discussion covers the consolidated results of NEZ - Philippines, driven mainly by its core domestic operating subsidiaries in Boracay Water, Clark Water, Laguna Water, and Estate Water (a division of MWPV).

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)	93.3	87.7	5.6	6%
Financial Highlights (in millions)				
Revenues	₱6,499	₱5,270	₱1,229	23%
Cost and expenses (excluding depreciation and amortization)	3,343	2,939	404	14%
EBITDA	3,159	2,326	833	36%
Net income attributable to MWC	₱908	₱481	₱427	89%

NEZ – Philippines ended September 30, 2024 with ₱908 million net income, a significant 89% increase from the net income versus the same period last year. This was mainly driven by the significant recovery in revenues, in line with billed volume growth and tariff increases by several business units.

On a consolidated MWPV level, revenues were higher by 23% at ₱6,499 million, mostly attributable to the 6% billed volume growth and tariff hike implementation from the core domestic BUs and higher sewer revenues from Laguna Water and Estate Water. The revenues from LARC (a newly-acquired subsidiary in April 2024) also contributed to the increment.

Costs and expenses for the period increased by 14% to ₱3,343 million. This was mainly driven by 1) increase in direct costs due to higher bulk water costs, which was partially offset by lower power costs due to lower rates and consumption; 2) increase in personnel costs due to additional headcount and increase in employee benefits; 3) increase in provision for expected credit losses; 4) increase in third party contractual services due to higher MWIS project accomplishments; and 5) LARC costs and expenses increment.

The aforementioned movements in MWPV Group's revenues and costs resulted to a 36% improvement in EBITDA to ₱3,159 million in 2024. EBITDA margin was at 49% with an increase of 5 percentage points compared to last year's 44%. Net interest expense is almost flat for the period at ₱731 million. Depreciation and amortization increased by 26% to ₱735 million mainly due to the additional completed CAPEX projects.

Below is a summary of the results of MWPV's core subsidiaries which contributed 70% of total revenues of NEZ – Philippines for 2024:

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Clark Water				
Billed volume (in million cubic meters)*	10.3	10.2	0.1	–
Average tariff (in Pesos per cubic meter)**	₱46.0	₱33.6	₱12.4	37%
Revenues (in millions)	₱471	₱347	₱124	36%
Net income (in millions)	₱116	₱29	₱87	303%
Billed Connections***	1,932	1,991	(59)	(3%)
Non-Revenue Water****	5.3%	6.6%	(1.3 ppts)	(20%)
Laguna Water				
Billed volume (in million cubic meters)	33.9	33.9	–	–
Average Tariff (in Pesos per cubic meter)	₱63.1	₱56.6	₱6.5	11%
Revenues (in millions)	₱2,251	₱2,011	₱240	12%
Net income (in millions)	₱909	₱693	₱216	31%
Billed Connections	132,205	127,989	4,216	3%
Non-Revenue Water	25.2%	25.4%	0.2 ppts	(0.8%)
Boracay Water				
Billed volume (in million cubic meters)	2.7	2.5	0.2	8%
Average tariff (in Pesos per cubic meter)	₱220.1	₱185.2	₱34.9	19%
Revenues (in millions)	₱590	₱464	₱126	27%
Net income (loss) (in millions)	₱88	₱38	₱50	132%
Billed Connections	5,741	5,264	477	9%
Non-Revenue Water	23.4%	23.9%	(0.5 ppts)	(2%)

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Estate Water				
Supervision fees*****	₱154.2	₱205.3	(₱51.1)	(25%)
Billed volume (in million cubic meters)	9.9	9.0	0.9	10%
Average tariff (in Pesos per cubic meter)	₱49.2	₱42.4	₱6.8	16%
Revenues (in millions)	₱1,477	₱998	₱479	48%
Net income (loss) (in millions)	₱137	₱72	₱65	89%
Billed Connections	17,403	16,997	406	2%

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm)

**Average tariff is revenue over billed volume

***Billed connections is the number of water service connections in the concession area, which is measured by count

***Non-revenue water refers to the volume of water lost in the Company's distribution system due to leakage, pilferage, illegal connections, and metering errors. NRW is calculated as the percentage of water lost against the net volume of water supplied by the Company

*****Supervision fee is a fee or charge paid by the customer to the Company in exchange for the latter's assurance of potable water and/or effective wastewater services in new developments

Clark Water's billed volume is almost flat at 10.3 million cubic meters (mcm) for the period ended September 30, 2024. Clark Water's revenue, however, grew 36% to ₱471 million mainly due to implementation of tariff increase in 2024. Meanwhile, total costs and expenses rose by 9% to ₱234 million from ₱215 million last year driven mainly by higher contractual services and higher regulatory costs. Clark Water's net income stood at ₱116 million for the period ended September 30, 2024.

Laguna Water's billed volume remained flat at 33.9 mcm for the period ended September 30, 2024. Laguna Water's revenue, however, grew 12% to ₱2,251 million mainly due to improvement in average effective tariff to ₱63.1 per cubic meter with the implementation of tariff hikes in 2024. Meanwhile, cost and expenses increased 6% from 2023 to ₱790 million mainly driven by increase in provision for expected credit losses. These movements resulted in a 31% increase in net income to ₱909 million for the period ended September 30, 2024.

Boracay Water's billed volume increased by 8% at 2.7 mcm for the period ended September 30, 2024. The 19% increase in effective tariff primarily led to the 27% increase in Boracay Water's revenue to ₱590 million for the period. In line with the recovery of demand and activity in the island, total cost and expenses increased by 7% from 2023 to ₱216 million. These movements resulted to an improved performance of Boracay Water with a net income of ₱88 million for the period ended September 30, 2024.

Estate Water, a division of MWPV, posted billed volume growth of 10% to 9.9 mcm for the period ended September 30, 2024. This was due to higher consumption from its residential and commercial segments from existing developments, and further supported by the 2% increase in billed connections with the addition of new accounts from greenfield projects. Estate Water's supervision fees significantly decreased due to lower construction progress in its greenfield projects. Furthermore, its average tariff increased 16% due to the implementation of tariff increases in its developments. These movements resulted in net income of ₱137 million for the period ended September 30, 2024.

NEZ – International

The following discussion covers the consolidated results of MWAP which comprise the NEZ – International business of the Group. Specifically, these are the performance contributions of associates in Vietnam, Thailand, Indonesia, and the Kingdom of Saudi Arabia.

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)*	529.9	491.3	38.6	8%
Financial Highlights (in millions)				
Equity share in net income of associates**	₱294	₱409	(₱115)	(28%)
Cost and expenses (excluding depreciation and amortization)	57	87	(30)	(34%)
EBITDA	240	327	(87)	(27%)
Net income (loss) attributable to MWC	(₱19)	₱155	(₱174)	(112%)

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm); Not attributable to MWC

**Under the equity method, an investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately.

On a consolidated level, NEZ – International's performance had a complete turnaround from ₱155 million net income for the period ended September 30, 2023 to ₱19 million net loss for the period ended September 30, 2024, mainly due to lower equity share in net income of associates which decreased by 28% at ₱294 million. The main driver for this was the decline in East Water's income contribution, mainly due to decrease in its revenue coupled with higher cost of raw water and depreciation of newly completed projects. The decrease in net income was further supported by decrease in performance of the Vietnam associates (i.e., Thu Duc Water and Kenh Dong Water) due to higher operating expenses. The decrease was slightly tempered by the improved performance of Saigon Water and PT STU.

These movements led to an EBITDA for the period ended September 30, 2024 of ₱240 million, 27% lower compared to the same period last year.

Below is a summary of the results of associates under NEZ - International:

For the periods ended September 30				
(in millions)	2024	2023	Increase (Decrease)	%
East Water at 18.72% contribution, before adjustment	(₱1.6)	₱96.4	(₱98.0)	(102%)
Impact of fair value amortization	110.2	111.6	(1.4)	(1%)
East Water at 18.72% contribution, adjusted	(111.8)	(15.2)	(96.6)	636%
Thu Duc Water at 49.00% contribution	227.5	247.9	(20.4)	(8%)
Kenh Dong Water at 47.35% contribution	150.7	164.5	(13.8)	(8%)
Saigon Water at 37.99% contribution	(11.5)	(30.4)	18.9	(62%)
PT STU at 20.00% contribution	3.1	0.6	2.5	417%
IWP at 20.00% contribution	16.4	18.1	(1.7)	(9%)
IWP2 at 30.00% contribution	19.6	23.3	(3.7)	(16%)
Total equity share in net income of associates	₱294.0	₱408.8	(₱114.8)	(28%)

For the periods ended September 30				
	2024	2023	Increase (Decrease)	%
East Water				
Billed volume (in million cubic meters)	289.3	254.9	34.4	13%
Net income (in million THB)	5.6	322.1	(316.5)	(98%)
East Water at 18.72% contribution (in million Php)	(₱111.8)	(₱15.2)	(₱96.6)	636%
Revenues (in million THB)	2,442	2,563	(121)	(5%)
COS and Operating Expenses (in million THB)	1,797	1,563	234	15%
EBITDA (in million THB)	646	999	(353)	(35%)
Thu Duc Water				
Billed volume (in million cubic meters)	82.6	82.0	0.6	1%
Net income - VAS (in million VND)	113,444.1	124,671.3	(11,227.2)	(9%)
Thu Duc Water at 49.00% contribution (in million Php)	₱227.5	₱247.9	(₱20.4)	(8%)
Revenues (in million VND)	299,026	297,263	1,763	1%
COS and Operating Expenses (in million VND)	103,156	99,987	3,169	3%
EBITDA (in million VND)	195,871	197,277	(1,406)	(1%)
Kenh Dong Water				
Billed volume (in million cubic meters)	52.2	52.1	0.1	0%
Net income - VAS (in million VND)	95,727.3	90,867.7	4,859.6	5%
Kenh Dong Water at 47.35% contribution (in million Php)	₱150.7	₱164.5	(₱13.8)	(8%)
Revenues (in million VND)	242,140	236,429	5,711	2%
COS and Operating Expenses (in million VND)	99,990	99,579	411	0%
EBITDA (in million VND)	142,150	136,850	5,300	4%
Saigon Water				
Billed volume (in million cubic meters)	100.9	98.9	2.0	2%
Net loss - VAS (in million VND)	(13,251.3)	(34,805.0)	21,553.7	(62%)
Saigon Water at 37.99% contribution (in million Php)	(₱11.5)	(₱30.4)	₱18.9	(62%)
Revenues (in million VND)	268,832	254,096	14,736	6%
COS and Operating Expenses (in million VND)	149,339	157,534	(8,195)	(5%)
EBITDA (in million VND)	119,493	96,563	22,930	24%
PT STU				
Billed volume (in million cubic meters)	4.9	4.3	0.6	14%
Net income (in million IDR)	5,047.6	1,939.2	3,108.4	160%
PT STU at 20% contribution (in million Php)	₱3.1	₱0.6	₱2.5	417%
Revenues (in million IDR)	21,904	18,332	3,572	19%
COS and Operating Expenses (in million IDR)	15,327	14,381	946	7%
EBITDA (in million IDR)	6,577	3,951	2,626	66%

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
International Water Partners (IWP)				
Billed volume (in million cubic meters)	—	—	—	—
Net income (in million SAR)	6.3	7.7	(1.4)	(18%)
IWP at 20% contribution (in million Php)	₱16.4	₱18.1	(₱1.7)	(9%)
Revenues (in million SAR)	31	35	(4)	(11%)
COS and Operating Expenses (in million SAR)	24	27	(3)	(11%)
EBITDA (in million SAR)	8	9	(1)	(11%)
International Water Partners the Second (IWP2)				
Billed volume (in million cubic meters)	—	—	—	—
Net income (in million SAR)	3.2	5.9	(2.7)	(46%)
IWP at 20% contribution (in million Php)	₱19.6	₱23.3	(₱3.7)	(16%)
Revenues (in million SAR)	28	21	7	33%
COS and Operating Expenses (in million SAR)	23	13	10	77%
EBITDA (in million SAR)	5	7	(2)	(29%)

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm)

East Water, a water supply and environmental services company in Thailand operating for more than 20 years, registered a total of 289.3 mcm in billed volume for the period ended September 30, 2024, 13% higher from last year. Despite this, East Water's revenue decreased by 5% for the period due to discounts provided to its customers for retainment and non-conversion of the purchased raw water from VSK into revenue. Moreover, cost and expenses increased due mainly to higher temporary purchase of raw water from VSK. As a result, EBITDA was at THB646 million, down by 35% versus last year. East Water's net income significantly decreased by 98% to THB6 million for the period ended September 30, 2024. Equity share in net income amounted to (₱111.8 million) for the period ended September 30, 2024, 636% lower than in 2023, equivalent to Manila Water's 18.72% stake in East Water. As of September 30, 2024, the accumulated allowance for impairment on the East Water investment amounted to ₱4.1 billion.

Thu Duc Water's billed volume slightly increased by 1% at 82.6 mcm for the period ended September 30, 2024 which resulted to a 1% increase in revenues at VND299 billion. Meanwhile, Thu Duc Water's cost and expenses increased by 3% to VND103 billion mainly due to higher power cost and repairs and maintenance. As a result, EBITDA decreased 1% to VND196 billion. These movements resulted in a decrease to Thu Duc Water's net income by 9% to VND113 billion. The equity share in net income of Thu Duc Water amounted to ₱227.5 million in 2024, 8% lower than 2023. This is equivalent to MWAP's 49% stake in Thu Duc Water.

Kenh Dong Water's billed volume is almost flat at 52.2 mcm for the period ended September 30, 2024. Kenh Dong Water's revenue, however, increased 2% to VND242 billion due to slight increase in average tariff and higher reading days. Also, cost and expenses remained flat at VND100 billion for the period. These movements led to a 4% increase in EBITDA to VND142 billion. Consequently, Kenh Dong Water registered an improved net income of VND96 billion for the period ended September 30, 2024. The equity share in net income of Kenh Dong Water amounted to ₱150.7 million for the period ended September 30, 2024, 8% lower than 2023. This is equivalent to MWAP's 47.35% stake in Kenh Dong Water.

MWAP's investment in Saigon Water, a listed water holding company in Vietnam with 7 subsidiaries (i.e. three bulk water operations, two distribution operations, and two service companies) and 1 equity investment (i.e. bulk water), recorded a total consolidated billed volume of 100.9 mcm for the period ended September 30, 2024, which is a 2% increase from the previous year. This resulted in Saigon Water's revenue to increase by 6% to VND269 billion. On the other hand, cost and expenses decreased 5% to VND149 billion for the period ended September 30, 2024. Due to these movements, Saigon Water ended the period with an 62% improved performance versus last year at a net loss position of VND13 billion. The PFRS-translated loss of Manila Water's 37.99% stake in Saigon Water amounted to (₱11.5 million) for the period ended September 30, 2024.

For PT STU, an industrial bulk water operation in Indonesia, billed volume increased by 14% to 4.9 mcm for the period ended September 30, 2024 from 4.3 mcm during the previous period. Consequently, PT STU posted higher revenues of IDR22 billion –19% increase from same period last year, and an EBITDA of IDR7 billion. Net income increased to IDR5.0 billion, higher by 160% from the same period in 2023. Equity share in net income of PT STU for the period ended September 30, 2024 amounted to ₱3.1 million, representing a 20% stake of Manila Water.

Lastly, the Consortium of Saur SAS, Miahona Company, and the Parent Company in the Kingdom of Saudi Arabia, IWP and IWP2 posted equity share for the period ended September 30, 2024 of ₱16.4 million and ₱19.6 million, respectively, representing Manila Water's 20% stake. The decrease in IWP entities' contribution was due to lower performance fee revenue and higher enabling cost and administrative expenses for the period.

CONSOLIDATED BALANCE SHEET

Total assets increased to ₱224 billion from December 31, 2023 mainly due to the increase in the Group's capital expenditures. Cash and cash equivalents decreased by 21% to ₱8.5 billion due to the Group's capital expenditures and net payments of debt, interest and dividends.

The Group's balance sheet is strong, with the Company remaining compliant with loan covenants. Debt maturity profile is spread out.

(in millions)	September 30, 2024	December 31, 2023	Increase (Decrease)	%
Assets	₱223,597	₱209,687	₱13,910	7%
Cash and cash equivalents	8,546	10,753	(2,207)	(21%)
Other assets*	29,890	27,608	2,282	8%
Service concession assets** and Property, plant and equipment	185,161	171,326	13,835	8%
Liabilities	₱146,004	₱139,568	₱6,436	5%
Equity	₱77,593	₱70,119	₱7,474	11%
Ratios				
EZ Bank debt to equity ratio	1.17x	1.23x		
EZ Debt service coverage ratio (DSCR)	1.24x	1.29x		
Return on equity - annualized (ROE)	19%	8%		

*Other assets are current and non-current

**Service concession assets (SCA) are the assets used to provide water and used water services to customers. SCA consists of constructed assets, as well as Concession Fees paid to MWSS.

Total liabilities as of September 30, 2024 slightly increased to ₱146 billion from ₱140 billion as of December 31, 2023. Bank debt increased due to loan drawdowns, net of loan repayments made.

As of September 30, 2024, total equity increased due to the Group's improved performance, net of dividends declared.

For the period ended September 30, 2024, EZ's bank debt to equity was at 1.17x while DSCR stood at 1.24x. Average cost of debt for the Group was at 6.29%, while annualized ROE was at 19%.

Management does not have knowledge of any material trends, events, or uncertainties outside the normal course of business which it deems will have a material impact on liquidity. Likewise, Management does not have any knowledge of imminent events that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.

CONSOLIDATED CAPITAL EXPENDITURES

Total capital expenditures for the Group increased by 28% to end at ₱16.75 billion for the period September 30, 2024, with ₱15.1 billion or 90% of said amount accounted for by the East Zone Concession. Majority of the East Zone Concession's capital expenditures were spent on wastewater expansion, network reliability and water supply projects in line with attaining service obligations outlined in its government-approved Rate Rebasing Service Improvement Plan. Said projects will be financed by internally generated funds and debt that are ably supported by the Company's strong balance sheet.

Meanwhile, total capital expenditures of the domestic subsidiaries amounted to 10% or ₱1.69 billion for the period ended September 30, 2024. Estate Water and Laguna Water's CAPEX amounted to ₱1.0 billion, while the balance was spread among several other subsidiaries for their various projects.

RECENT MATERIAL EVENTS

Rate Rebasing Adjustment for Charging Years 2023 to 2027

Beginning January 2023 through 2027, the Parent Company implemented the new tariff rates based on the MWSS Board of Trustees (BOT) Resolution No. 2022-148-RO approved on November 10, 2022. The Resolution outlines the Parent Company's Rebasing Adjustment for the Sixth Rate Rebasing Period (2023 to 2027) as recommended by the MWSS Regulatory Office (RO) Resolution No. 2012-12-CA. The implementation of Rebasing Adjustment from 2023 to 2027 on a staggered basis is scheduled as follows:

- ₱8.04 on January 1, 2023,
- ₱5.00 on January 1, 2024,
- ₱3.25 on January 1, 2025,
- ₱1.91 to ₱3.00 on January 1, 2026, and
- ₱1.05 to ₱1.08 on January 1, 2027.

Effective January 1, 2024, the Parent Company implemented the second tranche of the approved Rate Rebasing Adjustment equivalent to 14.35% and adjustment due to changes in Consumer Price Index equivalent to 3.53% on the existing Basic Charge, based on MWS-RO Resolution No. 2023-16-CA dated November 14, 2023 and as approved by the MWSS Board Resolution No. 2023-145-RO dated November 22, 2023. Accordingly, the Parent Company was allowed to raise its rate by an average of ₱6.40 per cubic meter.

The approval also includes an indicative adjustment of about 0.97 to 1.00 or 2.12% in January 1, 2028 due to non-full recovery of the total expenses for the Wawa Bulk Water Supply Project in compliance with MWSS BOT. However, this amount will be subject to the next Rate Rebasing exercise.

Furthermore, the environmental charge increased from 20% to 25% beginning January 1, 2023, and will increase from 25% to 30% beginning January 1, 2026. Sewer charge increased from 30% to 32.85% beginning January 1, 2023, subject to Manila Water's attainment of sewer coverage of 30% by the end of 2025.

Declaration of Cash Dividends

On February 29, 2024, the Board of Directors during its meeting, approved the declaration of cash dividends amounting to ₱1.129 per share on the outstanding common shares, ₱0.113 per share on the outstanding unlisted participating preferred shares, and accumulated fixed cash dividends of ₱0.01 per share on the outstanding unlisted participating preferred shares.

The record date is March 18, 2024, and payment date is April 12, 2024.

Divestment of Ayala Corporations investment in Manila Water

On May 17, 2024, Trident Water Company Holdings, Inc. (Trident), MWC's major shareholder, executed with Ayala Corporation (AC) and its wholly-owned subsidiary, Michigan Holdings, Inc. (Michigan), the underlying agreements for the special block sales covering AC's and Michigan's 577,997,467 MWC common shares.

Trident and Philwater Holdings Company, Inc. (Philwater), a wholly-owned subsidiary of AC, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares.

The gross consideration for these transactions among Trident and AC, Michigan, and Philwater (collectively, "Ayala"), amounted to ₱14.5 billion. As of September 30, 2024, Ayala no longer held common and preference shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares.

Share Purchase Agreement between Filipinas Water and MC Bulacan Water Services Corporation

On May 15, 2024, Filipinas Water signed a Share Purchase Agreement with SMC Bulacan Water Services Corporation for the sale of all of its interests constituting 90% stake (135,000,000 shares) in Bulakan Water and 90% stake (88,200,000 shares) in Obando Water. The transaction will monetize Filipinas Water's assets, and the proceeds will be used to fund other strategic initiatives of MWC and MWPVI. The total purchase price for the shares amounted to ₱1,024.57 million. As of September 30, 2024, both parties are ongoing with the completion of conditions precedent prior to closing. Moreover, as of September 30, 2024, the operations of both entities are still ongoing and being managed by the Group.

On October 22, 2024, the closing conditions of SPA have been complied with by Filipinas Water and SMC Bulacan. On the same date, amendments to the respective Joint Venture Agreements were also executed, whereby SMC Bulacan replaces Filipinas Water as the joint venture partner of the water districts.

MWPVI Acquisition of 70% of the Outstanding Capital Stock of Equipacific HoldCo Inc. ("EHI")

On April 17, 2024, MWPVI entered into a share purchase agreement with Equi-Parco Holdings Corporation, Metropac Water Investments Corporation, and TwinPeak Hydro Resources Corporation for the sale and purchase of their 30%, 30% and 10% interest, respectively, in EHI, equivalent to a total of 315,015,625 shares. The purchase price is ₱3.65 per share resulting in a total purchase price of ₱1,150 million. MWPVI's non-controlling interest in EHI as of the acquisition date is 30%. The acquisition will allow MWPVI to establish a stronger foothold and strategically grow its water and wastewater supply operations in the Province of Laguna.

EHI is an investment company which holds ninety percent (90%) of the outstanding shares of Laguna Water District Aquatech Resources Corporation (LARC), a joint-venture company formed for the rehabilitation, improvement, expansion, operation, and maintenance of the water supply system of the Laguna Water District in the towns of Los Baños, Bay, Calauan, Victoria and Nagcarlan in the Province of Laguna. Accordingly, MWPVI's effective interest in LARC as of the acquisition date is 63%.

Effectivity of Parent Company's Foreign Currency Denominated Adjustments (FCDA) based on the Amendment to the Revised Concession Agreement (Amended RCA)

On August 7, 2024, MWSS BOT, upon the recommendation of the MWSS RO, approved the FCDA Guidelines describing the mechanics to determine the FCDA.

On September 12, 2024, MWSS BOT approved the implementation FCDA of 2.03% of the 2024 average basic charge of ₱42.26 per cubic meter or ₱0.86 per cubic meter pursuant to the provisions of Amended RCA. The tariff shall be adjusted upward by an average of ₱0.88 per cubic meter effective October 1, 2024.

As provided in the Amended RCA between MWSS and the Parent Company, the FCDA is a pass-through charge to account for foreign exchange gains or losses arising from the Parent Company's payments of specific concession loans identified in the Amended RCA.

ANALYSIS OF MATERIAL CHANGES (+/- 5% OR MORE) IN THE UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

Income Statement Items – For the period ended Sept. 30, 2024 (Unaudited) vs. Sept. 30, 2023 (Unaudited)

Revenues

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
	(Amounts in thousands)			
Revenue from contracts with customers				
Water and used water revenues	₱26,045,906	₱21,311,373	₱4,734,533	22%
Other operating revenues	1,363,177	1,619,191	(256,014)	(16%)
Finance income from contract assets	137,983	213,636	(75,653)	(35%)
	₱27,547,066	₱23,144,200	₱4,402,866	19%

Water and used water revenues – 22% increase

Increase of ₱4,734.53 million due to billed volume growth and tariff increases across EZ and several NEZ-PH business units.

Other operating revenues – 16% decrease

Decrease of ₱256.01 million was primarily attributed to decrease in revenue from pipework and integrated used water services, decreased supervision charges mostly from Estate Water and Laguna Water, and lower Maynilad cross-border billings.

Finance income from contract assets – 35% decrease

Decrease of ₱75.65 million mainly due to the termination of CMWD bulk water contract on December 1, 2023.

Costs of Services

	For the periods ended September 30			
	2024	2023	Increase (Decrease)	%
	(Amounts in Thousands)			
Depreciation and amortization	₱3,274,208	₱2,703,583	₱570,625	21%
Power, light and water	1,819,059	1,791,680	27,379	2%
Salaries, wages and employee benefits	1,026,250	960,288	65,962	7%
Repairs and maintenance	390,275	339,242	51,033	15%
Regulatory costs	360,164	289,858	70,306	24%
Contractual services	311,571	519,472	(207,901)	(40%)
Water treatment chemicals	302,219	253,980	48,239	19%
Wastewater costs	163,281	162,036	1,245	1%
Water tankering and bulk water	150,729	183,378	(32,649)	(18%)
Amortization of water service connections	132,065	135,767	(3,702)	(3%)
Collection fees	121,415	119,022	2,393	2%
Other expenses	398,691	199,237	199,454	100%
	₱8,449,927	₱7,657,543	₱792,384	10%

Depreciation and amortization – 21% increase

Increase of ₱570.63 million was due to additional depreciation related to newly completed CAPEX projects and depreciation of LARC assets (a newly-acquired subsidiary in April 2024).

Salaries, wages and employee benefits – 7% increase

Increase of ₱65.96 million was mainly due to the additional headcount deployed to EZ's new facilities, network enhancements, and NRW initiatives, and higher employee benefits for both EZ and NEZ for the period. Manpower costs for LARC also contributed in the increment.

Repairs and maintenance – 15% increase

Increase of ₱51.03 million was mainly due to higher reactive and preventive maintenance and leak repairs for the period.

Regulatory costs – 24% increase

Increase of ₱70.31 million was due to CPI adjustment on EZ's concession fees and higher revenues of NEZ-PH business units.

Contractual services – 40% decrease

Decrease of ₱207.90 million was mainly due to lower meter reading rates in EZ and lower construction project accomplishments in NEZ.

Water treatment chemicals – 19% increase

Increase of ₱48.24 million was due to higher chemical consumption of EZ as a result of higher production and new facilities.

Water tankering and bulk water – 18% decrease

Decrease of ₱32.65 million was due to reversal of accruals made in 2024, slightly offset by higher demand of Estate Water's bulk water customers in NCR

Other expenses – 100% increase

Increase of ₱199.45 million was mainly due to increase in insurance cost, security and janitorial costs and supplies, among others.

Other Income (Expenses)

For the periods ended September 30				
	2024	2023	Increase (Decrease)	%
	(Amounts in Thousands)			
Revenue from rehabilitation works	16,237,206	11,493,301	₱4,743,905	41%
Cost of rehabilitation works	(16,237,206)	(11,493,301)	(4,743,905)	41%
Interest expense	(2,730,796)	(2,825,693)	94,897	(3%)
Foreign currency differentials	870,537	397,255	473,282	119%
Foreign exchange gains (losses) – net	(590,464)	(401,449)	(189,015)	47%
Interest income	302,165	235,436	66,729	28%
Equity share in net income of associates	293,909	408,948	(115,039)	(28%)
Losses on disposal of property and equipment – net	(83)	(10,882)	10,799	(99%)
Other income - net	497,563	346,197	151,366	44%
	(₱1,357,169)	(₱1,850,188)	₱493,019	(27%)

Revenue from rehabilitation works and cost of rehabilitation works – 41% increase

Increase of ₱4,743.91 million was mainly due to additional capital expenditures of the Group during the period.

Foreign currency differentials and foreign exchange gains - net – 6.778% increase

Net increase of ₱284.27 million in net foreign exchange gains was mainly due to the EZ's unwinding of USD currency option, FCDA adjustment and depreciation of peso.

Interest income – 28% increase

Increase of ₱66.73 million due to higher interest rates from cash and investments maintained during the period.

Equity share in net income of associates – 28% decrease

Decrease of ₱115.04 million mainly from lower share in net income from East Water due to additional cost of raw water purchased in 2024 consequent to the turnover of transmission pipes in 2023 and lower share from Kenh Dong and Thu Duc driven by higher operating expenses.

Losses on disposal of property and equipment – net – 99% decrease

Decrease in net gain (loss) from disposal of ₱10.80 million was due to higher scrap value of certain items of NEZ equipment sold during the period.

Other income – net – 44% increase

Increase of ₱151.37 million was mainly from the higher accrued liquidated damages and reversal of SCO related to EZ's bulk water contract.

Provision for income tax – 48% increase

Increase of ₱1,039.14 million due to the Group's higher taxable income and deferred tax benefit on depreciation.

Net loss from discontinued operations – 82% increase

Increase of ₱0.6 million net loss was attributable to Zamboanga Water's administrative expense as it continues winding down the business following the termination of the NRW RSA with ZCWD in 2020.

Balance Sheet Items – As of September 30, 2024 (Unaudited) vs. December 31, 2023 (Audited)

	September 30, 2024	December 31, 2023	Increase (Decrease)	%
(Amount in Thousands)				
ASSETS				
Current Assets				
Cash and cash equivalents	₱8,546,480	₱10,752,734	(₱2,206,254)	(21%)
Receivables	3,824,969	2,904,920	920,049	32%
Contract assets - current portion	453,682	549,873	(96,191)	(17%)
Inventories	425,556	380,615	44,941	12%
Other current assets	1,821,906	1,534,553	287,353	19%
Assets held for sale	1,126,875	–	1,126,875	100%
Total Current Assets	16,199,468	16,122,695	76,773	0%
Noncurrent Assets				
Property, plant and equipment and software	9,227,154	9,108,755	118,399	1%
Service concession assets	175,933,707	162,217,499	13,716,208	8%
Right-of-use assets	520,639	328,466	192,173	59%
Contract assets - net of current portion	1,273,664	1,168,784	104,880	9%
Investments in associates	11,533,675	11,191,568	342,107	3%
Goodwill	300,077	6,247	293,830	4704%
Deferred tax assets - net	510,704	499,689	11,015	2%
Other noncurrent assets	8,098,406	9,043,699	(945,293)	(10%)
Total Noncurrent Assets	207,398,026	193,564,707	13,833,319	7%
	₱223,597,494	₱209,687,402	₱13,910,092	7%
LIABILITIES AND EQUITY				
Current Liabilities				
Accounts and other payables	₱19,253,663	₱18,761,073	492,590	3%
Short-term debt	8,207,205	135,000	8,072,205	5979%
Current portion of:				
Long-term debt	8,550,900	16,971,501	(8,420,601)	(50%)
Service concession obligations	534,837	910,633	(375,796)	(41%)
Contract liabilities	409,069	389,571	19,498	5%
Lease liabilities	90,927	117,030	(26,103)	(22%)
Income tax payable	824,750	339,116	485,634	143%
Liabilities directly related to assets held for sale	1,130,557	–	1,130,557	100%
Total Current Liabilities	39,001,908	37,623,924	1,377,984	4%

(Forward)

	September 30, 2024	December 31, 2023	Increase (Decrease)	%
(Amount in Thousands)				
Noncurrent Liabilities				
Noncurrent portion of:				
Long-term debt	₱86,302,839	₱82,275,950	₱4,026,889	5%
Service concession obligations	14,703,653	15,214,188	(510,535)	(3%)
Contract liabilities	1,177,613	921,420	256,193	28%
Lease liabilities	326,004	215,348	110,656	51%
Pension liabilities – net	526,468	388,222	138,246	36%
Deferred tax liabilities – net	2,384,360	1,052,305	1,332,055	127%
Provisions	454,041	402,659	51,382	13%
Other noncurrent liabilities	1,127,244	1,473,943	(346,699)	(24%)
Total Noncurrent Liabilities	107,002,222	101,944,035	5,058,187	5%
Total Liabilities	146,004,130	139,567,959	6,436,171	5%
Equity				
Attributable to equity holders of Manila Water Company, Inc.				
Capital stock:				
Common stock	2,885,796	2,884,840	956	0%
Preferred stock	400,000	400,000	–	0%
Additional paid-in capital	3,285,796	3,284,840	956	0%
Treasury shares:				
Common stock	(4,949,053)	(4,996,646)	47,593	(1%)
Preferred stock	(752,978)	(752,978)	–	–
Subscriptions receivable	(5,604,332)	(5,607,258)	2,926	0%
Total paid-up capital	6,481,102	6,385,974	95,128	1%
Retained earnings:				
Appropriated	56,500,000	56,500,000	–	0%
Unappropriated	12,450,255	5,717,749	6,732,506	118%
Cumulative translation adjustment	594,262	741,911	(147,649)	(20%)
Remeasurement loss on defined benefit plans	(268,520)	(231,817)	(36,703)	16%
Equity in other comprehensive loss of an associate	7,397	2,734	4,663	171%
Hedging reserves	–	(64,919)	64,919	(100%)
Other equity reserves	(144,458)	(144,458)	–	–
Total Equity	75,620,038	68,907,174	6,712,864	10%
Noncontrolling interests	1,973,326	1,212,269	761,057	63%
Total Equity	77,593,364	70,119,443	7,473,921	11%
	₱223,597,494	₱209,687,402	₱13,910,092	7%

Cash and cash equivalents – 21% decrease

Decrease of ₱2,206.25 million was mainly due to the Group's capital expenditures and net payments of debt, interest and dividends.

Receivables - net – 32% increase

Increase of ₱920.05 million was mainly due to increase in the Group's revenue for the period.

Inventories – 12% increase

Increase of ₱44.94 million was mainly due to additional purchase of chemicals forecasted to be used for higher production and turbidity in EZ's water source.

Other current assets – 19% increase

Increase of ₱287.35 million was mainly due to the Parent Company's prepaid taxes and insurance.

Service concession assets – 8% increase

Increase of ₱13,716.21 million was mainly due to additional CAPEX during the period.

Right-of-use assets – 59% increase

Increase of ₱192.17 million was mainly due to the recognition of renewed lease term for EZ's head office.

Goodwill – 4704% increase

Increase of ₱293.83 million was due to LARC acquisition in April 2024.

Other noncurrent assets – 10% decrease

Decrease of ₱945.29 million was mainly due to recoupment of advances to contractors and unwinding of derivative assets related to USD currency option hedge, offset by increase in EZ's deferred FCDA.

Short-term debt – 5979% increase

Increase of ₱8,072.21 was mainly due to the East Zone's drawdown from MBTC during the period.

Lease liabilities (current and noncurrent) – 25% increase

Increase of ₱84.55 million was mainly due to recognition of renewed lease term for EZ's head office.

Contract liabilities (current and noncurrent) – 21% increase

Increase of ₱275.69 million was mainly due to higher MWIS projects during the period.

Income tax payable – 143% increase

Increase of ₱485.63 million was mainly driven by higher taxable income of the Group during the period.

Assets held for sale (AHFS) and Liabilities directly related to AHFS 5 - net – 100% increase

Net increase of net liabilities held for sale ₱3.68 million was due to ongoing divestment of Bulakan Water and Obando Water.

Pension liabilities - net – 36% increase

Net increase of ₱138.25 million was due to Group's recognition of pension and sick leave benefits expense during the period in line with the most recent actuarial valuation reports.

Deferred tax liabilities -net – 239% increase

Net increase of ₱1,321.04 million was mainly driven by the difference between straight-line and units of production methods of depreciation.

Provisions – 13% increase

Increase of ₱51.38 million was mainly due to the additional provisions during the period.

Other noncurrent liabilities – 24% decrease

Decrease of ₱346.70 million was mainly due to payment of shareholder loans.

Unappropriated retained earnings – 118% increase

Increase of ₱6,732.51 million was mainly due to net income for the period of the Group, net of dividend payments.

Cumulative translation adjustment – 20% decrease

Decrease of ₱147.65 million was due to the cumulative translation loss caused by the depreciation of the PHP against the VND and USD, together with the impact of the net investment hedge of the Group's investment in MWAP.

Remeasurement loss on defined benefit plans – 16% increase

Increase of ₱36.70 million was due to adjustments made to pension liabilities in line with the most recent actuarial valuation reports.

Equity in other comprehensive income of an associate – 171% increase

Increase of ₱4.66 million was due to equity adjustments of associates.

Hedging reserves – 100% decrease

Decrease of ₱64.92 million due to unwinding of the derivative asset related to USD currency option hedge.

Noncontrolling interests – 63% increase

Increase of ₱761.06 million was mainly due to LARC acquisition and subsidiaries results of operations.

Liquidity and Capital Resources

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans, and debentures. The Group's policy is to maintain a level of cash that is sufficient to fund its operating cash requirements for the next three (3) to six (6) months and any claim for refund of customers' guaranty deposits. Capital expenditures are funded through long-term debt, while operating expenses and working capital requirements are sufficiently funded through internally generated cash. Maturing debts are refinanced through a combination of long-term debt and internally generated cash.

Capital Sources

The Group's cash and cash equivalents as of September 30, 2024 ended at ₱8,546.48 million. For the period ended September 30, 2024, the Group had more cash inflows than expenditures used in its operating and investing activities. Financing activities, however, required more cash outflows mainly needed for property acquisitions and payment of debt, interest and dividends. The Group's improvement and expansion project implementation was funded by available credit lines, loan facilities from reputable local and international financing institutions.

Net Cash Provided by Operating Activities. Net cash provided by operations for the period ended September 30, 2024 amounted to ₱2,982.16 million primarily due to its improved operations offset by capital expenditures for the expansion of water and used water networks required under the respective concession arrangements of the Group amounting to ₱16,900.64 million. Excluding the effect of changes in service concession assets which are presented under cash flows from operating activities in accordance with IFRIC 12 and PAS 7, the Group's net cash inflows from operating activities amounted to ₱19,882.81 million.

Net Cash Provided by Investing Activities. Net cash provided by investing activities for the period ended September 30, 2024 amounted to ₱613.73 million. Cash was mainly from dividends received from associates amounting to ₱207.79 million, interest received during the year from cash in banks, cash equivalents, and short-term investments amounting to ₱304.93 million, proceeds from sale of property and equipment amounting to ₱0.13 million and decrease in other noncurrent assets amounting to ₱833.01 million. This was partly offset by the acquisition of property, equipment and software amounting to ₱732.13 million.

Net Cash Used in Financing Activities. Net cash used in financing activities for the period ended September 30, 2024 amounted to ₱5,741.04 million, which was mainly for the payment of long-term debt, interests, service concession obligations, dividends and lease liabilities aggregating to ₱22,368.90 million. The cash outflows were offset by the availments of long-term and short-term debt totaling ₱16,337.90 million. Net cash from financing activities was also affected by the decrease in other noncurrent liabilities amounting to (₱212.87 million) and movements in NCI amounting to ₱502.83 million.

Further details are disclosed in the Group's Interim Consolidated Statements of Cash Flows.

KEY VARIABLE AND OTHER QUALITATIVE AND QUANTITATIVE FACTORS

- a. The Group does not have any significant seasonality or cyclicity in its operations, except for the usually higher demand during the summer months of April to June.
- b. The Group has not made any modification to its existing debt and has not availed of any extension in debt servicing.

As of September 30, 2024, there were no other known trends, demands, commitments, events or uncertainties that have material impact on the Group's liquidity and sales aside from those disclosed in the audited consolidated financial statements.

- c. The Group has various contingent liabilities arising from the ordinary conduct of business which are either pending decision by the courts or are being contested, the outcomes of which are not presently determinable.
- d. Except for the shareholder transaction related to the sale by Ayala Corporation, Michigan Holdings, Inc. and Philwater Holdings Company, Inc. of their Parent Company's common and preferred shares to Trident Water Company Holdings, Inc. (Trident Water), there were no off-balance sheet transactions, arrangements, and obligations created during the reporting period.
- e. Other than the items disclosed in the unaudited consolidated financial statements, the Group did not acquire assets nor incur liabilities that are material in amount for the period ended September 30, 2024.

SUMMARY OF APPENDICES

- A. Board of Directors and Senior Management Team
- B. Manila Water Stock and Dividends Information
- C. Summary of Corporate Disclosures as of the 3rd Quarter of 2024
- D. East Zone Operations: Performance Indicators and Business Efficiency Measures
- E. Schedule of Tariff

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Signature and Title:

A handwritten signature in black ink, appearing to read 'Gigi T. Miguel', with a long horizontal flourish extending to the right.

GIGI T. MIGUEL
Chief Finance Officer and Treasurer,

November 14, 2024

PART II – OTHER INFORMATION

APPENDIX A

Board of Directors and Senior Management Team

The Board of Directors (the “Board”) has nine (9) members elected by the Company’s stockholders entitled to vote at the annual meeting. The directors hold office for one (1) year and until their successors are elected and qualified in accordance with the Company’s By-laws.

The following are the members of the Board as of September 30, 2024:

Name	Position/Board Committee Membership
Enrique K. Razon Jr.	Chairperson of the Board of Directors Chairperson of the Executive Committee
Jose Victor Emmanuel A. de Dios	President and Chief Executive Officer Chairperson of the Environment, Social, and Governance Committee Member of the Executive Committee Member of the Talent and Remuneration Committee
Donato C. Almeda	Chief Regulatory Officer Member of the Executive Committee Member of the Board Risk Oversight Committee Member of the Nomination Committee
Sandy A. Alipio	Member of the Executive Committee Member of the Audit Committee Member of the Related Party Transactions Committee
Katrina Maria S. Razon	Member of the Board of Directors
Sherisa P. Nuesa	Lead Independent Director Chairperson of the Audit Committee Member of the Board Risk Oversight Committee Member of the Environment, Social, and Governance Committee Member of the Corporate Governance Committee Member of the Nomination Committee
Cesar A. Buenaventura	Chairperson of the Board Risk Oversight Committee Member of the Audit Committee Member of the Environment, Social, and Governance Committee Member of the Corporate Governance Committee Member of the Related Party Transactions Committee Member of the Nomination Committee
Octavio Victor R. Espiritu	Chairperson of the Corporate Governance Committee Chairperson of the Nomination Committee Chairperson of the Talent and Remuneration Committee Member of the Audit Committee Member of the Environment, Social and Governance Committee Member of the Related Party Transactions Committee
Eric Ramon O. Recto	Chairperson of the Related Party Transactions Committee Member of the Board Risk Oversight Committee Member of the Environment, Social and Governance Committee Member of the Corporate Governance Committee Member of the Talent and Remuneration Committee

Below are the Company's key officers as of September 30, 2024:

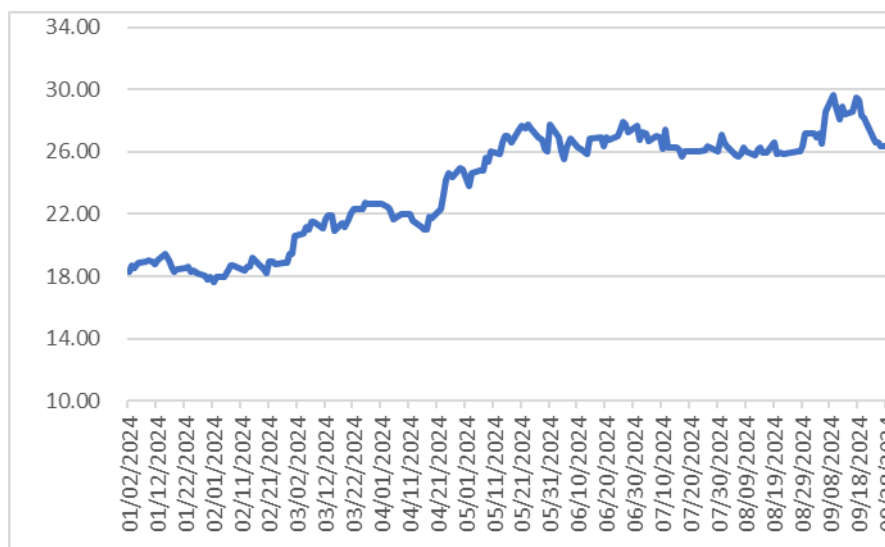
Name	Position
Enrique K. Razon, Jr.	Chairperson of the Board of Directors
Jose Victor Emmanuel A. de Dios	President and Chief Executive Officer
Donato C. Almeda	Chief Regulatory Officer
Roberto Jose R. Locsin	Chief Operating Officer for International Business <i>concurrent</i> Chief Administrative Officer
Gigi Iluminada T. Miguel	Chief Finance Officer and Treasurer
Amabelle C. Asuncion	Chief Legal Officer and Chief Compliance Officer
Arnold Jether A. Mortera	Chief Operating Officer, East Zone
Melvin John M. Tan	Chief Operating Officer, Non-East Zone Philippines
Ana Mari B. Bentalanon	Group Controller
Shoebe Hazel B. Caong	Group Director, East Zone Business Operations, Data Protection Officer
Joemar B. Emboltorio	Group Director, East Zone Operations
Evangeline M. Clemente	Group Director for Strategic Asset Management
Melissa M. Isagani	Chief Information Officer
Janine T. Carreon	Group Director for Corporate Human Resources
Nestor Eric T. Sevilla	Group Director, Corporate Communications
Jhoana B. Redoloza-Tamayor	Group Director, Corporate Procurement
Valerie R. Tagana	Group Director, Supply Chain Management
Michael M. Mayo	Group Director, Engineering
Silverio Benny J. Tan	Corporate Secretary
Ninez C. Maningat	Assistant Corporate Secretary
Mailene M. Cabral	Chief Audit Executive and Chief Risk Officer

For more information about each of the members of the Board and the key officers, please visit the Parent Company's website at www.manilawater.com.

APPENDIX B

Manila Water Stock and Dividends Information

Stock Chart (January 2, 2024 to September 30, 2024)



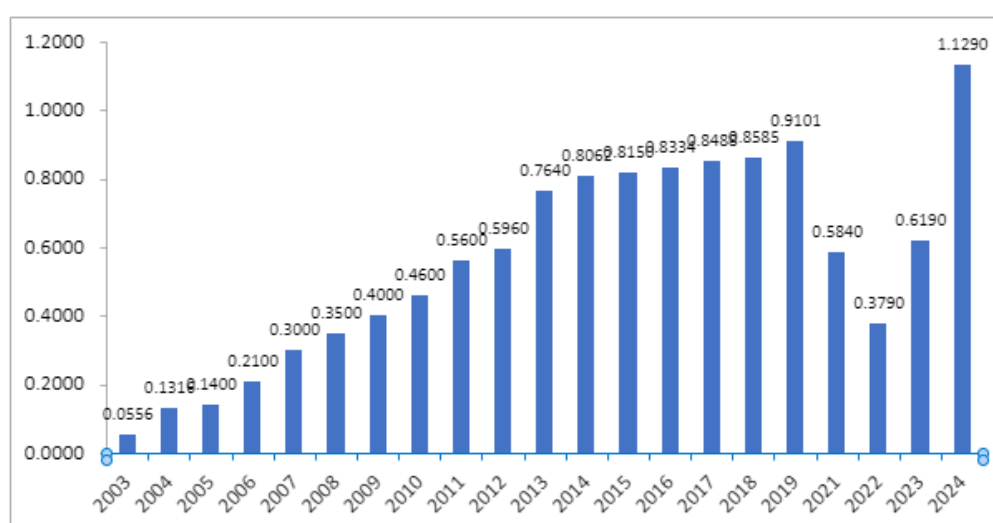
*Source: Bloomberg, Philippine Stock Exchange

The Parent Company was listed in the Philippine Stock Exchange on March 18, 2005 and its listed shares have since been actively traded therein. The high and low sale prices for each quarter that the Parent Company's shares have been listed are as follows:

	High / Low Sales			
	2024		2023	
	High	Low	High	Low
1 st Quarter	₱22.85	₱17.56	₱21.20	₱17.28
2 nd Quarter	₱27.90	₱21.00	₱21.10	₱16.96
3 rd Quarter	₱29.70	₱25.70	₱19.70	₱17.00
4 th Quarter	–	–	₱18.80	₱16.80

For the third quarter of 2024, the highest sale price was ₱29.70 and lowest sale price was ₱25.70. The price information as of the close of September 30, 2024 was ₱26.55.

Dividends Information



On February 29, 2024, the BOD approved the declaration of cash dividends amounting to ₱1.129 per share on the outstanding common shares, ₱0.113 per share on the outstanding unlisted participating preferred shares, and accumulated fixed cash dividends of ₱0.01 per share on the outstanding unlisted participating preferred shares. The record date is March 18, 2024 and payment date is on April 12, 2024.

APPENDIX C

Summary of Corporate Disclosures as of the 3rd Quarter of 2024

As part of its commitment to promote the corporate values of transparency and accessibility of material information to its investors, the Company fully complies with the reporting and disclosure requirements of the law as well as the relevant rules and regulations issued by the SEC. The Company adopts a policy of prompt and accurate disclosure of all information that may be material to the investing public. The Company conducts quarterly investors' and analysts' briefings and regular meetings with shareholders and fund managers to keep them up to date on matters affecting the business of the Company.

Below is a summary of the corporate disclosures to the SEC as of September 30, 2024.

Disclosure Date	Subject/Description
January 2, 2024	Termination of the Concession Agreement with the Provincial Government of Pangasinan
January 12, 2024	List of Top 100 Stockholders as of December 31, 2023 (Common Shares)
January 19, 2024	₱100,000.00 Penalty on Manila Water Company, Inc.
January 30, 2024	Water Supply and Delivery Contract with the Metropolitan Cebu Water District
January 30, 2024	Clarification of News Article: "Manila Water to revive P8-B Pangasinan deal" posted in Inquirer.net on January 30, 2024
February 19, 2024	Notice of Analysts' Briefing to be held on February 29, 2024
February 29, 2024	Notice of 2024 Annual Stockholders' Meeting to be held on April 25, 2024
February 29, 2024	Declaration of Cash Dividends on the Common Shares
February 29, 2024	Declaration of Cash Dividends for Unlisted Preferred Shares
February 29, 2024	Full Year 2023 Financial and Operating Results
February 29, 2024	2023 Audited Financial Statements
February 29, 2024	Amendment of the Whistleblowing Policy
March 1, 2024	USD110 Million 3-Year Term Loan of Manila Water Asia Pacific Pte. Ltd.
March 15, 2024	Preliminary Information Statement
March 21, 2024	List of Stockholders as of Record Date of March 14, 2024
April 3, 2024	Information Statement – 2024 Definitive Information Statement
April 5, 2024	[Amended-1] Notice of 2024 Annual Stockholders' Meeting to be held on April 25, 2024
April 11, 2024	Statement of Changes in Beneficial Ownership of Securities reported by Ayala Corporation
April 11, 2024	Statement of Changes in Beneficial Ownership of Securities reported by Philwater Holdings Company, Inc.
April 16, 2024	Annual Report for the period ended December 31, 2023
April 16, 2024	List of Top 100 Stockholders (Common Shares) for the 1 st Quarter of 2024
April 18, 2024	Acquisition of Shares by Manila Water Philippine Ventures, Inc. of 70% of the outstanding Capital Stock of Equipacific HoldCo Inc. (EHI)
April 25, 2024	Results of 2024 Annual Stockholders' Meeting
April 25, 2024	Results of 2024 Organizational Meeting of Board of Directors
April 30, 2024	2024 General Information Sheet of Manila Water Company, Inc.
May 2, 2024	Initial Statement of Beneficial Ownership of Securities of Mr. Karl Kendrick T. Chua
May 8, 2024	Notice of Analysts'/Investors' Briefing to be held on May 14, 2024
May 9, 2024	Sale of Treasury Shares – Vesting of shares under the Stock Incentive Plan (SIP)
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Arnold Jether A. Mortera
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Roberto Jose R. Locsin
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Gigi Iluminada T. Miguel
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Amabelle C. Asuncion
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Nestor Eric T. Sevilla, Jr.
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Jose Victor Emmanuel A. De Dios
May 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Donato C. Almeda
May 10, 2024	Initial Statement of Beneficial Ownership of Securities of Ana Mari B. Bentalanon
May 13, 2024	Statement of Changes in Beneficial Ownership of Securities of Janine T. Carreon
May 13, 2024	Statement of Changes in Beneficial Ownership of Securities of Liwayway T. Sevilla
May 13, 2024	Statement of Changes in Beneficial Ownership of Securities of Maily Lynne B. Quinto
May 13, 2024	Statement of Changes in Beneficial Ownership of Securities of Evangeline M. Clemente
May 13, 2024	Statement of Changes in Beneficial Ownership of Securities of Ana Mari B. Bentalanon
May 14, 2024	Material Information/Transactions – Unaudited Performance Results for the 1 st Quarter of 2024
May 14, 2024	Amendment to the Statement of Changes in Beneficial Ownership of Securities of Ana Mari B. Bentalanon

Disclosure Date	Subject/Description
May 14, 2024	Quarterly Report for the 1 st Quarter of 2024
May 16, 2024	Disposition of Shares of Filipinas Water Holdings Corporation (FWHC), an entity owned by MWCI for the sale of all FWHC's interests constituting 90% stake in Bulakan Water Company, Inc. (BWCI) and 90% stake in Obando Water Company, Inc. (OWCI)
May 17, 2024	Resignation of Directors (Alberto M. De Larrazabal and Karl Kendrick T. Chua)
May 24, 2024	Changes in Shareholdings of Directors and Principal Officers (Mr. Enrique K. Razon, Jr.)
May 30, 2024	Integrated Annual Corporate Governance Report for the period ended 31 December 2023
June 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Mr. Enrique K. Razon, Jr.
June 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Trident Water Company Holdings, Inc.
June 10, 2024	Changes in Shareholdings of Directors and Principal Officers (Lead Independent Director Ms. Sherisa Nuesa)
June 10, 2024	Statement of Changes in Beneficial Ownership of Securities of Ayala Corporation
June 10, 2024	Statement of Changes in Beneficial Ownership of Securities of PhilWater Holdings Co., Inc.
June 25, 2024	Statement of Changes in Beneficial Ownership of Securities of Ms. Sherisa P. Nuesa
July 5, 2024	Amended 2024 General Information Sheet of Manila Water Company, Inc.
July 15, 2024	List of Top 100 Stockholders (Common Shares) for the 2 nd Quarter of 2024
July 18, 2024	Changes in Shareholdings of Directors and Principal Officers (Jose Victor Emmanuel A. De Dios)
July 25, 2024	Notice of Analysts' Briefing to be held on August 8, 2024
July 31, 2024	Clarification of News Report
July 31, 2024	Retirement of Ms. Liwayway T. Sevala and Appointment of Ms. Melissa Marcelo Egasani
August 1, 2024	Changes in Shareholdings of Directors and Principal Officers (Mr. Melvin John M. Tan)
August 1, 2024	Statement of Changes in Beneficial Ownership of Securities of Mr. Melvin John M. Tan
August 2, 2024	Sale of Treasury Shares – Vesting of shares under the Stock Incentive Plan (SIP) to Ms. Liwayway T. Sevala
August 2, 2024	Amended Public Ownership Report as of June 30, 2024
August 8, 2024	Quarterly Report as of June 30, 2024
August 8, 2024	Unaudited Performance Results for the First Half of 2024
August 9, 2024	Statement of Changes in Beneficial Ownership of Securities of Mr. Jose Victor Emmanuel A. De Dios
August 9, 2024	Statement of Changes in Beneficial Ownership of Securities of Ms. Liwayway T. Sevala
August 12, 2024	2024 Amended General Information Sheet
August 22, 2024	Initial Statement of Beneficial Ownership of Securities of Ms. Melissa Marcelo Egasani
August 30, 2024	Amended Public Ownership Report as of June 30, 2024
September 12, 2024	Change in Shareholdings of Ms. Sherisa P. Nuesa
September 13, 2024	Amendment in Change in Shareholdings of Ms. Sherisa P. Nuesa
September 16, 2024	4 th Quarter 224 Foreign Currency Differential Adjustment
September 19, 2024	Statement of Changes in Beneficial Ownership of Securities of Sherisa P. Nuesa

For more details on these disclosures, please visit the Parent Company's website at www.manilawater.com.

APPENDIX D

East Zone Operations: Performance Indicators and Business Efficiency Measures As of September 30, 2024

Key Performance Indicators	Target**	Actual
Domestic Water Service Connections	15,601 ¹	19,767 ²
Continuity of Water Supply (24-hour supply) at 7psi	98.00%	98.76%
Water Quality at Plant Outlet (% compliance with PNSDW)	100.00%	99.98%
Water Quality in Distribution (% compliance with PNSDW)	95.00%	98.50%
Sampling (% compliance with PNSDW)	100.00%	110.56%
Sewerage Connections*	7,246	6,300
Sanitation (no. of septic tanks emptied)	125,408 ¹	105,478 ²
Wastewater Effluent Quality (% compliance with DENR standards)	95.00%	100.00%
Response to customer service complaints (% of complaints resolved within 10 days)	95.00%	99.61%
Response to billing complaints (% of complaints resolved within 10 days)	92.00%	99.31%
Response to request for new connections (% of requests responded to within 5 days)	95.00%	99.75%
Installation of new water service connections (no. of new water service connections installed within 7 days over the total no. of approved applications with paid connection fees) year-to-date ³	95.00%	98.12%
Response to disruptive mains failure (% of disruptive main failures repaired within 24 hours)	95.00%	100.00%

Business Efficiency Measures	Target**	Actual
Billed Volume (mcm)	545.00 ¹	396.12 ²
Revenue Collection Rate	98.00%	97.70%
Labor Cost (in million PhP)	3,923.00 ¹	1,797 ²
Power Consumption (in million Kwh)	220.00 ¹	1,29.97 ²
Power Cost (in million pesos)	2,070.00 ¹	1,205.94 ²
Total Controllable OPEX (in million PhP)	4,534.00 ¹	2,096.20 ²
CAPEX (in million PhP) ⁴	24,880.00 ¹	11,802.73 ⁴
Non-Revenue Water % (YTD Average)	15.00%	13.48%

NOTE:

- Based on RR23 Approved Service Improvement Plan (SIP)
- In accordance with the franchise, 2024 figures are progressive indicators towards targets measurable on the compliance year (2026)
- Assumptions are to be reviewed regularly and calibrations may be conducted as necessary in coordination with MWSS
- Targets subject to further review in the next rebasing exercise (Rate Rebased 2028)

¹ Year-end targets

² Year-to-date actual figures

³ Excluding connections related to new pipeline projects

⁴ Year-to-date total CAPEX net of capitalized borrowing costs and engineering & supervision, including concession fees.

* Cumulative figures from 1997

** In accordance with the franchise, 2023 figures are progressive indicators towards targets measurable on the compliance year (2026)

APPENDIX E

Schedule of Average Tariff*

	September 30, 2024	December 31, 2023	September 30, 2023
Previous Basic	₱35.86	₱26.81	₱26.81
CPI	1.26	1.00	1.00
Rate Rebasing	5.14	8.04	8.04
Total Basic Water	₱42.26	₱35.86	₱35.86
EC**	10.57	8.96	8.96
TOTAL	52.83	44.82	44.82
Government Tax***	1.39	1.18	1.18
TOTAL w/ Franchise Tax	₱54.22	₱46.00	₱46.00

*Pertains to the Parent Company only.

**Effective January 1, 2023, Environmental Charge is 25% of the Water Charge.

***Effective March 21, 2022, Manila Water bill has been subject to Franchise Tax and no longer to VAT. Estimated average government tax of 2.625% is to be remitted in total as Franchise Tax to National and relevant Local Government.

The tariff which is approved by MWSS represents the indicative rate applied to the whole East Concession area. The percentage increase on the basic charge is applied universally across the Manila Water Standard Tariff Table.